



BK GROUP PLC

INVESTOR PRESENTATION

Q1 2023



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Group Overview

Strategic Objectives, Subsidiaries overview

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For the Three months ended March 31st, 2023

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Delivering growth on all fronts

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Conducive operating environment

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GROUP OVERVIEW

Four Key Strategic Objectives

Strategic Objectives

**Become the
Universal Financial
Services provider of
Choice for all
Rwandans**

**Control Risk,
strengthen systems
and revolutionize
customer experience**

**Digital Financial
Institution**

People



Vision

BK Group Plc aspires to be the leading provider of the most innovative financial solutions in the region.



Mission

Our mission is to be the leader in creating value for our stakeholders by providing the best financial services to businesses and individual customers, through motivated and professional staff.



Values

Customer Focus
Integrity
Quality
Excellence

Diversified Business

BK Group Plc is a holding company with 5 subsidiaries

FRw 1,118.8 billion
Net Loans¹

FRw 1,058.8 Billion
Customer Deposits¹



**Commercial &
Retail Banking**



**Advisory/Wealth
Management**

59.5%
RSE Trading Market
Share

23.4%
Net Operating Income

FRw 60% Billion
AUMs¹

FRw 2.5 Billion
Gross Premium¹

FRw 797 Million
Net Profit¹



**Insurance
Non-life insurance**

FRw 24.4 Billion
Total Assets¹

24%
Return on Adjusted
Equity



Technology
IoT, digital ecosystems,
eduTech

3.5 Million
Digital Consumers

FRw 7.5 Billion
Value of Transactions
on UrubutoPay¹

FRw 389.2 Million
Sales Revenue¹



EDUCATION



INNOVATION



**ENVIRONMENTAL
CONSERVATION**

Notes:

1. Rwandan Franc (FRw) 1,103.8 FRw = 1 US\$ as at Mar 31st, 2023

Competing in Attractive Markets

Country Statistics

- Nominal GDP of USD 11.9 billion¹ in 2023E
- Population of 13.2 million²
- In Q1 2023, GDP growth expanded to 7.9 %²
- Moderate urban inflation with rate of 17.8% in April 2023;

\$11.1 billion
2022 Projected Nominal GDP

Rwandan Banking System

- Well regulated banking sector
- Significant headroom for growth given under-banked and excluded population; 36% of adults in Rwanda are banked or are using banking services³
- Total assets/GDP of 44.2% as at March 31st, 2023.

Bank Business

- Asset growth at a CAGR of 18.2% (2018 - Q1 2023); FRw 1.7 trillion as at March 31st, 2023 with 18.2 % market share
- ROAA ranging from 3.3% - 4.0% between 2018 and Q1 2023
- 23,335 corporate clients; 498,219 retail clients as at March 31st, 2023
- 68 branches and 103 ATMs

Source:

1. World Bank
2. NISR; National Institute of Statistics of Rwanda
3. National Bank of Rwanda



Leading Bank in Rwanda

Strong market positioning and high capital adequacy ratios

FRw 1,741.7 billion

Total Assets¹



FRw 1,118.8 billion

Net Loans¹



FRw 1,058.8 billion

Customer Deposits¹



FRw 328.0 billion

Shareholder's Equity¹



2.6%

Non-Performing Loans¹
% of Gross Loans

44.9%

Liquid Assets Holding²

180%

Liquidity Coverage Ratio³

Best Bank in Rwanda
2022



Best Bank in Rwanda
2020



AA+/A1+ Credit Rating



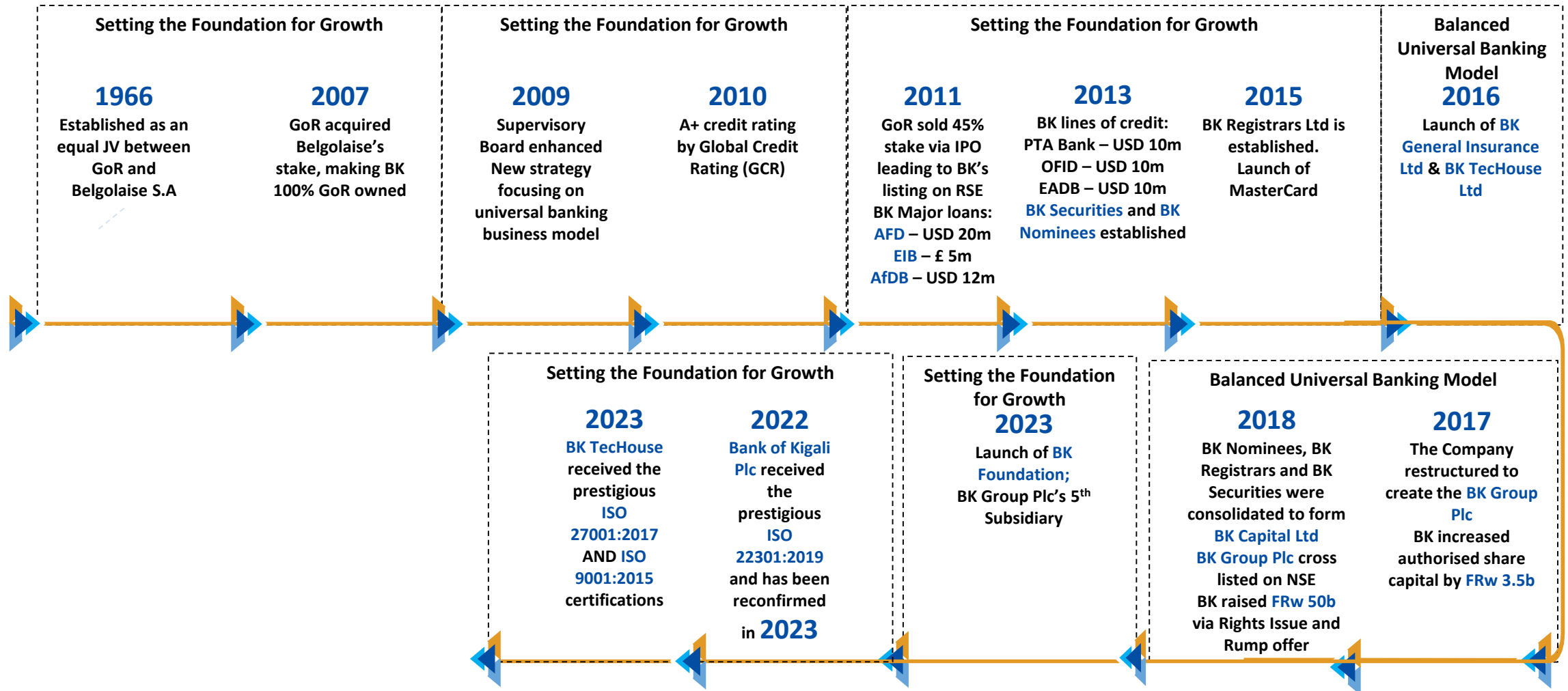
Best Financial Reporting Company - Rwanda
2019



Note:

1. Rwandan Franc (FRw) 1,103.8 FRw = 1 US\$ as at Mar 31st, 2023
2. Minimum requirement is 20%
3. Minimum requirement is 100%

Growing Platform



Share Trading Performance

FRw 270 / KES 31.80

Current Price¹

918.5 million shares

Common shares outstanding¹

12.0%

Dividend yield, Q1 2023

RSE
\$224.7m

Market Cap¹

3.5x
P/E Q1 2023¹

0.8x
P/BV Q1 2023

NSE
\$215m

Market Cap²

3.4x
P/E Q1 2023²

0.7x
P/BV Q1 2023

FRw 77.9 / KES 9.3

EPS 2023

FRw 280 / KES 34.50

12-month high

FRw 245 / KES 26.50

12-month low

Analyst Coverage



Recommendation: **BUY**
Target Price: **FRw 325**
Last coverage report:
Mar 31st, 2022



Recommendation: **BUY**
Target Price: **FRw 538**
Last coverage report:
Sept 15th, 2022



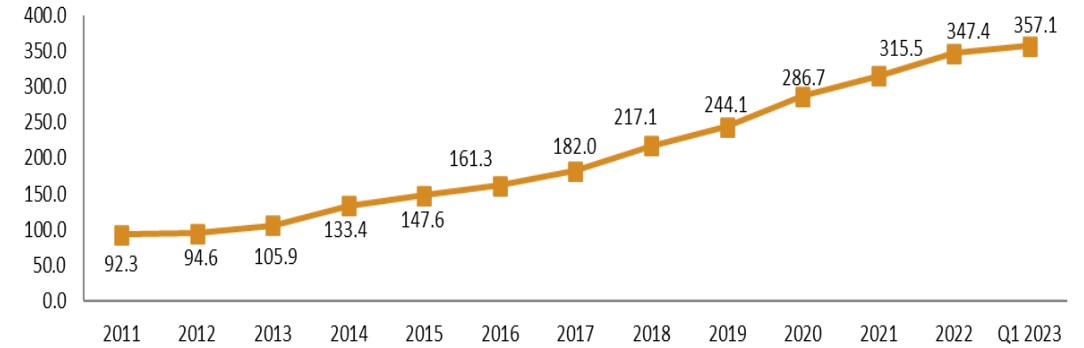
Recommendation: **BUY**
Target Price: **FRw 400**
Last coverage report:
Jul 5th, 2022



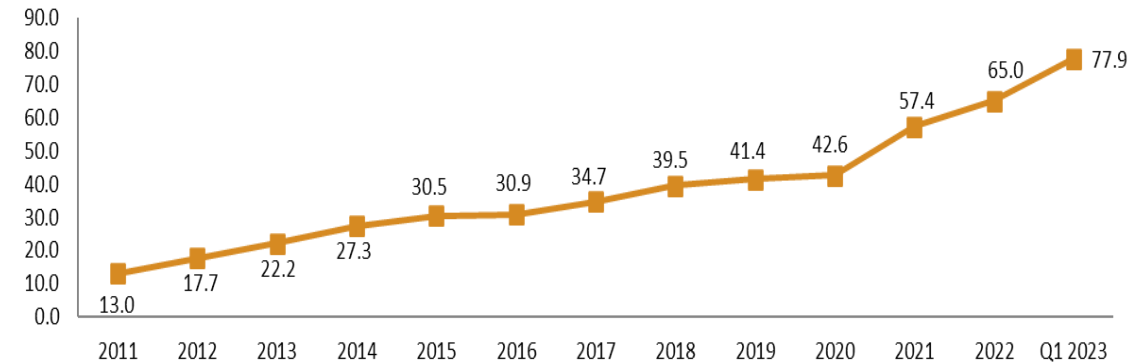
Recommendation: **BUY**
Target Price: **FRw 340.3**
Last coverage report:
July 9th, 2021

¹ Rwandan Franc (FRw) 1,103.8 FRw = 1 US\$ as at Mar 31st, 2023
*Capital gains on RSE transactions are exempted from Capital Gains Tax

Book Value/Share



Earning Per Share (FRw)





Q1 2023 Financial Results

Highlights

Highlights

- Total assets up 2.5%
- Net loans up 13.3%
- Net income up 14.5%
- Cost to income ratio up 1.4%

FRw Billion	Q1 2022	Q1 2023	% change
Total Assets	1,698.7	1,741.7	2.5%
Net Loans	987.4	1,118.8	13.3%
Client Deposits	1,026.3	1,058.8	3.2%
Shareholders Equity	293.6	328.0	11.7%
Net Income	15.6	17.9	14.5%
Cost to Income	39.9%	38.5%	1.4%

FRw/USD Period End Rate	1,018.4	1,103.8	8.4%
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USD million	2018	2019	2020	2021	2022	Q1 2023
Total Assets	983.6	1,105.9	1,333.5	1569.2	1,731.3	1,577.9
Net Loans	636.9	735.8	870.4	977.1	1,059.4	1,013.6
Client Deposits	596.4	697.4	808.7	961.5	1,004.0	959.3
Shareholders Equity	218.3	239.6	265.2	281.5	298.0	297.2
Net Income*	30.7	40.5	39.3	51.2	55.8	16.2

FRw/USD Period End Rate	854.0	892.0	921.5	977.9	1,013.5	1,103.8
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Segment Highlights

Commercial & Retail Banking



- **Net Loans up 13.3%**
- **Customer deposits up 3.2%**
- **Net income up 14.5%**
- **Cost to income ratio up 1.4%**

Insurance



- **Gross premiums** decreased from Frw 2.1 Billion to FRw 2.5 Billion in 2023
- **The profit grew by 8% y-o-y to FRw 797 Million** - Increase in premiums earned, investment income and efficiency in managing expenses
- **Total assets increased by 3% to FRw 24.0 Billion y-o-y** - Substantial payments to reinsurers and paying off other liabilities, both technical and general, which were outstanding at the start of the year 2023.

Advisory/Wealth Management



- **RSE Market Share**
 - Market share is 59.5% on the equity market and 26.9% in the bond market
- **AUMs up 33.5% Y-0-Y**
 - Assets under management grew by 60% q-o-q to FRw 33.5 billion largely driven by the Aguka Unit Trust Fund which increased by FRw 12.6 billion due to its strong product proposition and marketing

Technology



- **UrubutoPay**
 - BK TechHouse digital platforms registered a 40% increase in user base, surpassing 157.2 million users on their 5 digital platforms - Smart Nkunganire System; Smart Kungahara System, Urubuto Education System, UrubutoPay and Kiliziya Yacu.
- **Sales revenue**
 - Grew by 54% y-o-y to FRw 389.2 Billion
- **Profit**
 - Recorded a PBT of FRw 27million in 2023

Corporate Banking Highlights

Highlights

- Clients include large corporates, SMEs and NBAs*
- Interest rates are in the 16.0% - 18.5% range

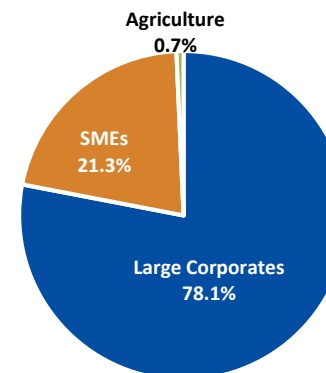
Key products:

- CAPEX loans: long-term loans for investment or expansion of the business
- Commercial mortgage loans: typical customer participation at 30% of property value, typical tenor of up to 15 years
- Working capital loans: financing business needs to an agreed limit for a short period (usually <1yr)
- Overdrafts

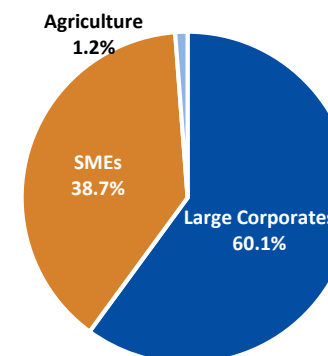
Strategy:

- Exploit cash management platform upgrade for sticky deposits and advantaged pricing for credit products.
- Hence, increasing both loans and deposits.
 - Introduce new services, integrate client coverage
 - Grow and consolidate market share
 - Leverage superior lending capacity
 - Focus on payroll services

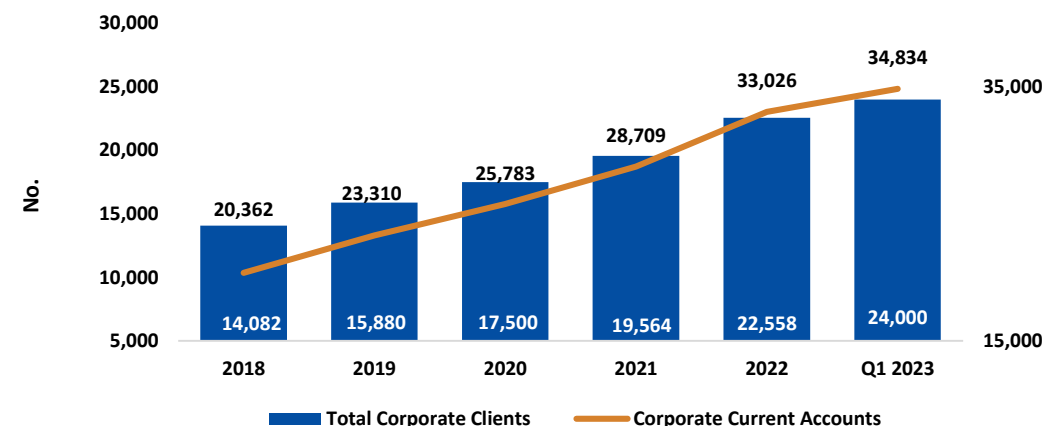
Corporate Loans: FRw 1,070.5 Bn



Corporate Deposits: FRw 874.3 Bn



Number of Corporate Accounts



Some of BK's clients



*NBAs (Non Business Associations) include Non-Profit Organizations, Charities, Religious institutions, Educational Institutions, Cooperatives, etc.
Rwandan Franc (FRw) 1,103.8 FRw = 1 US\$ as at Mar 31st, 2023

Retail Banking

Highlights

- The Bank's retail business is primarily focused on mortgages and consumer loans with notable share of salary backed overdrafts

Key products:

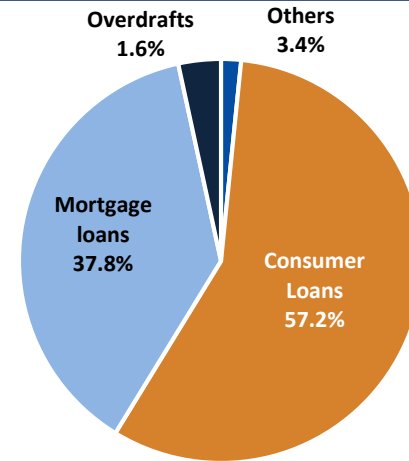
- Mortgage loan: up to 15 years with typical customer participation at 30% of property value
- Vehicle loan: up to 5 years to individual clients
- Consumer loan: up to 12x monthly salary and 48 months
- Overdraft: up to 50% of monthly salary (normally repaid in 30-90 days)
- Other products include credit cards and asset based financing
- BKQuick loans (Mobile loans) were 2.9 Billion of Retail loans

Strategy:

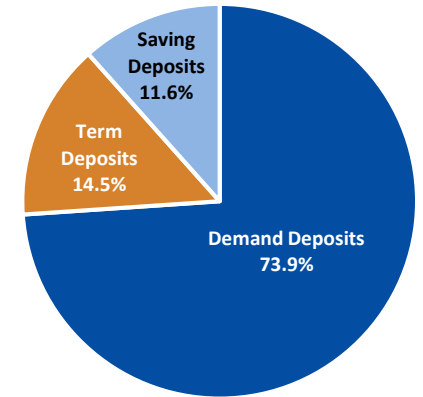
- Through BKQUICK, a mobile solution towards savings and small loans, the Bank has been able to tap into the retail market competitively thus increasing loans and deposits in the segment. BK recovered more than 50% of funds in BK Quick NPL in 2 months
- Instant issuing of credit/debit cards

Rwandan Franc (FRw) 1,103.8 FRw = 1 US\$ as at Mar 31st, 2023

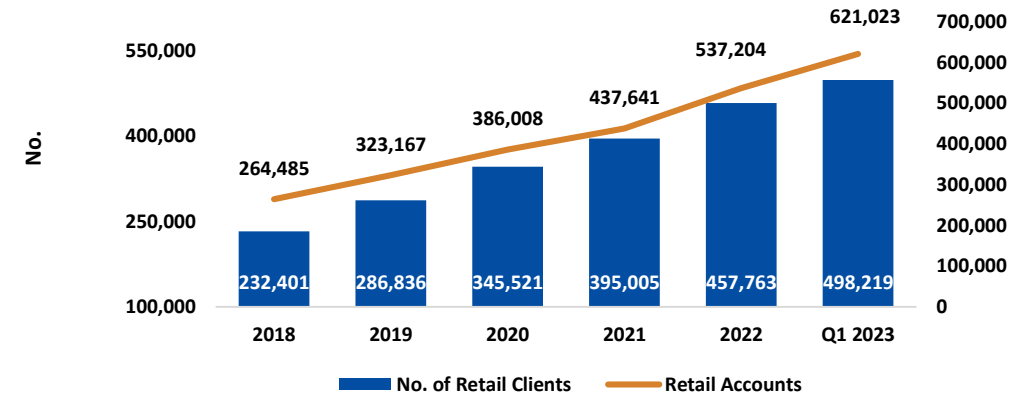
Retail Loans: FRw 145.4 billion



Retail Deposits: FRw 194.3 billion



Retail Client Accounts



Some of BK's products:

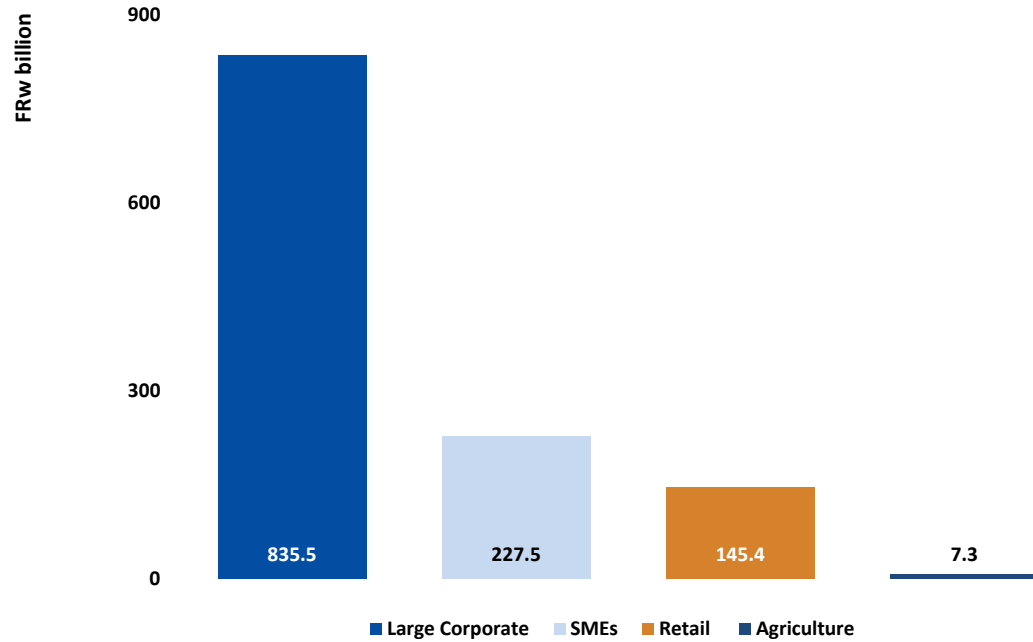


BK CASH POINT

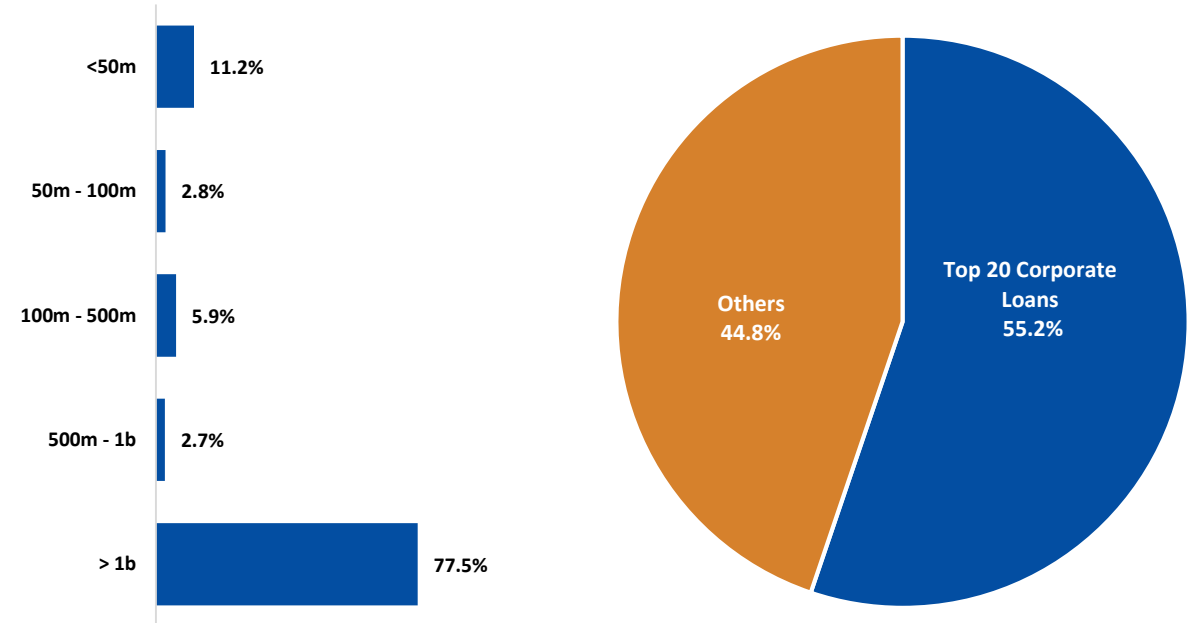


High Quality Loan Portfolio

Gross Loan Portfolio



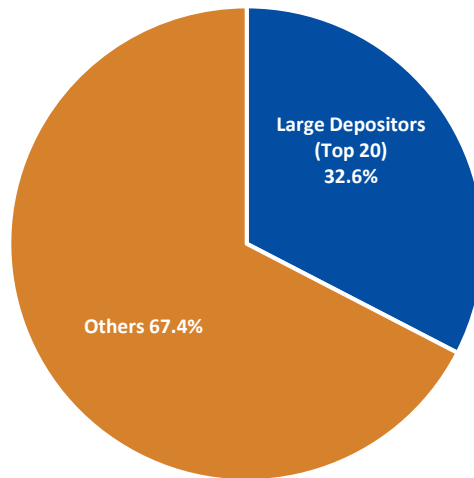
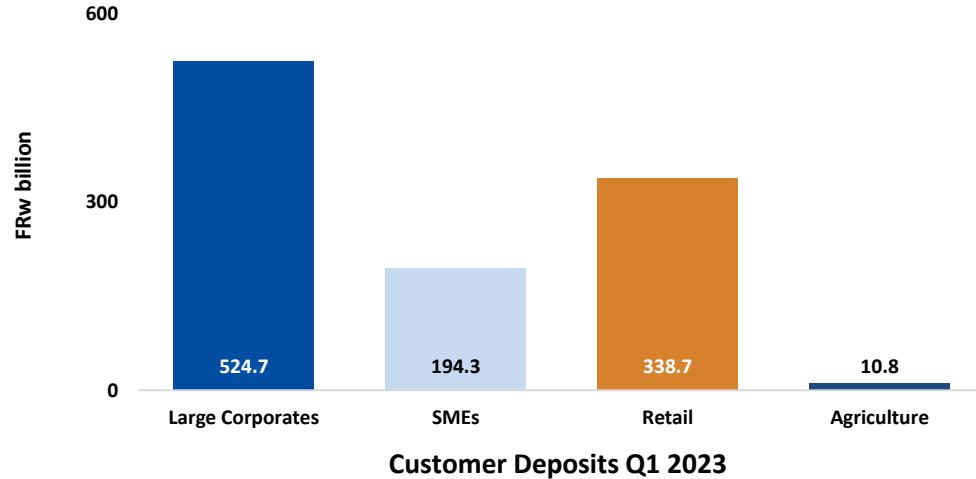
Corporate Loan Book Q1 2023



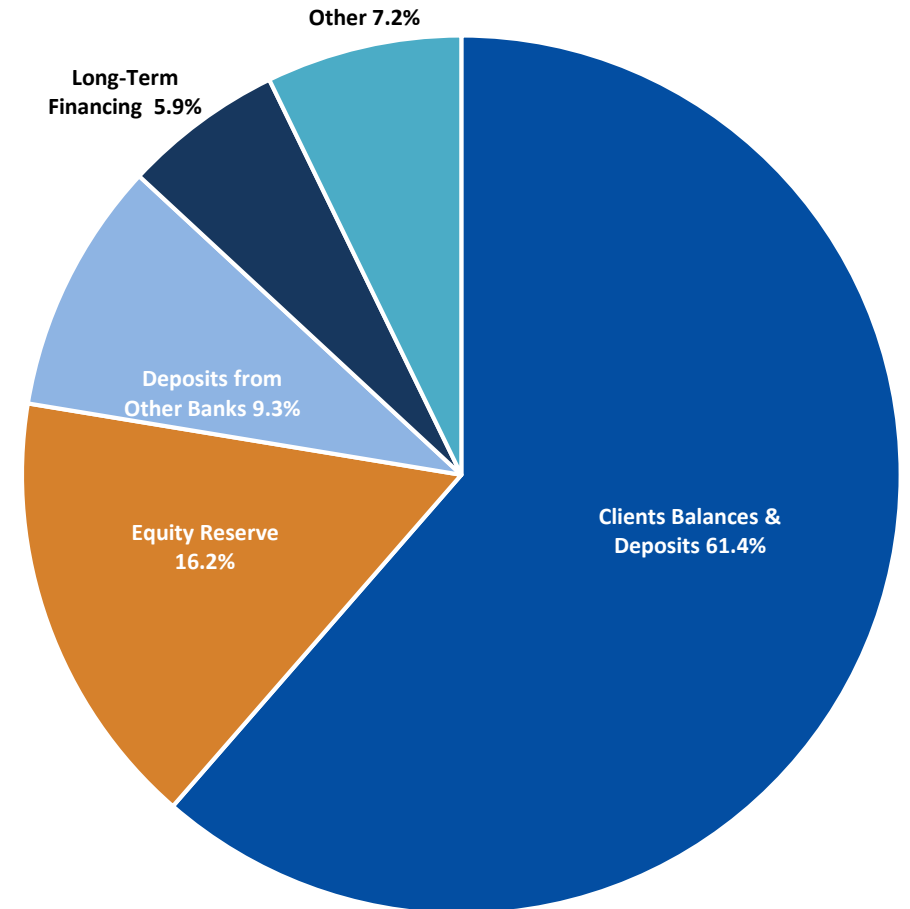
Rwandan Franc (FRw) 1,103.8 FRw = 1 US\$ as at Mar 31st, 2023

Overview of Deposit Structure

Total Deposits Growth



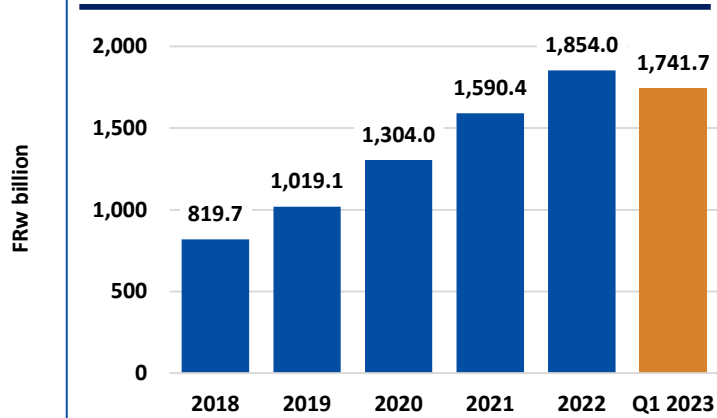
Funding Structure: FRw 1,741.4 billion



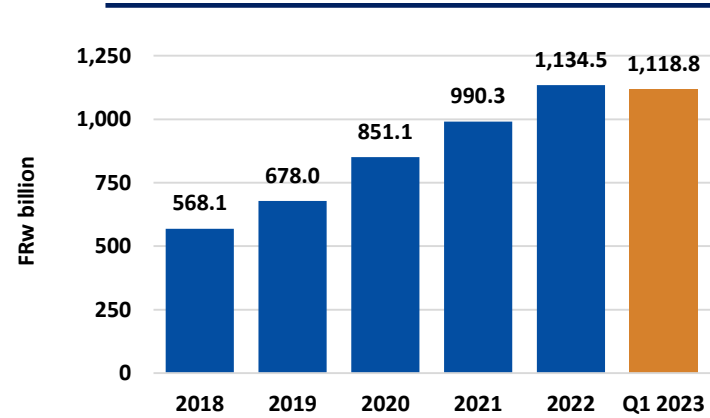
Rwandan Franc (FRw) 1,103.8 FRw = 1 US\$ as at Mar 31st, 2023

Balance Sheet

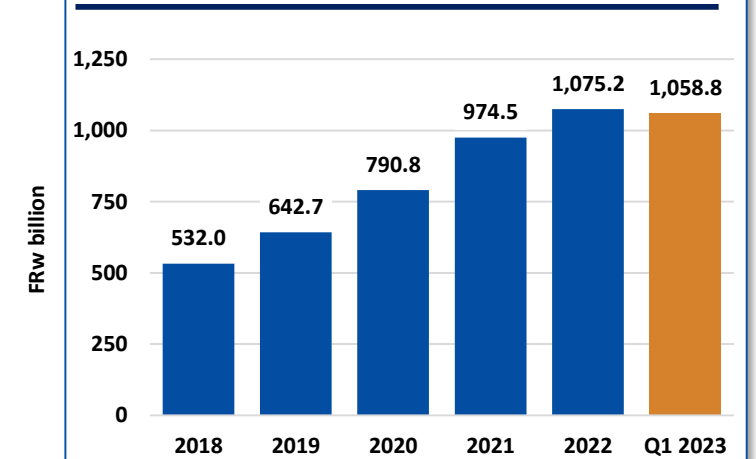
Total Assets



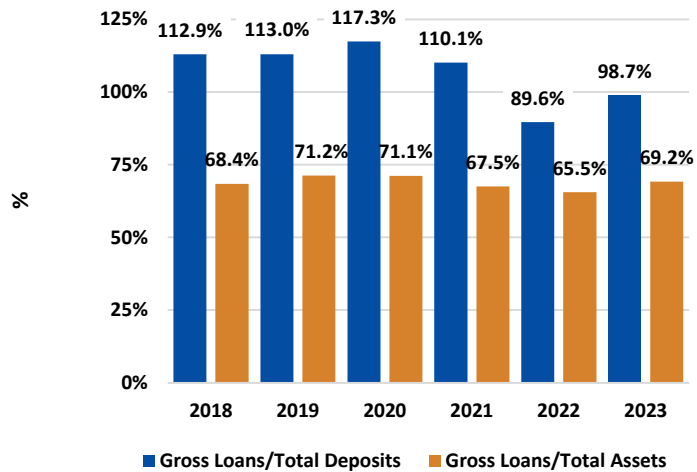
Net Loans & Advances



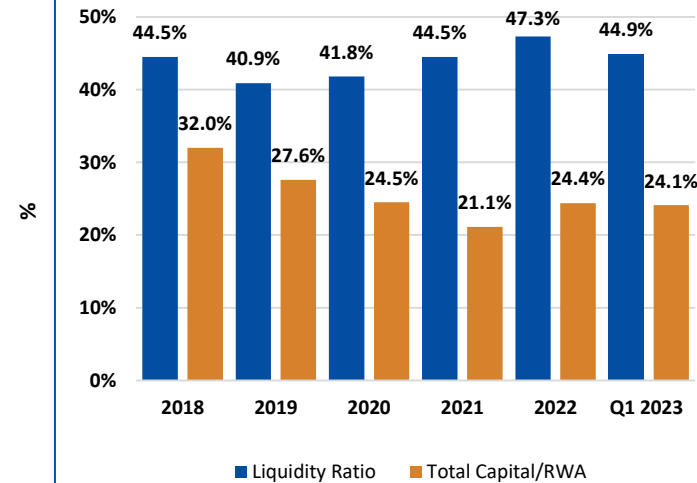
Customer Balances & Deposits



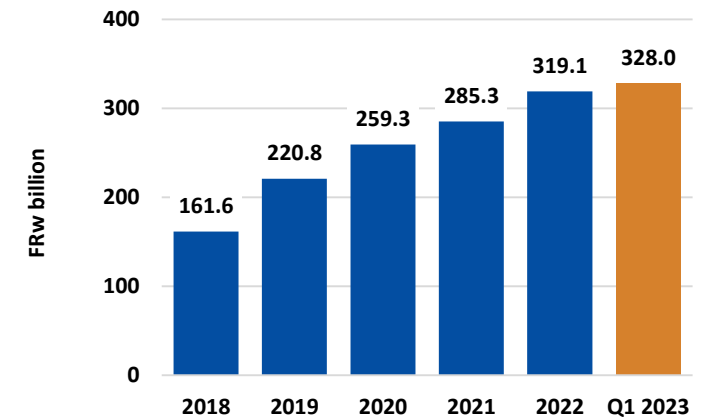
Strong Potential for Growth in Customer Deposits



Strong Capital And Liquidity Position



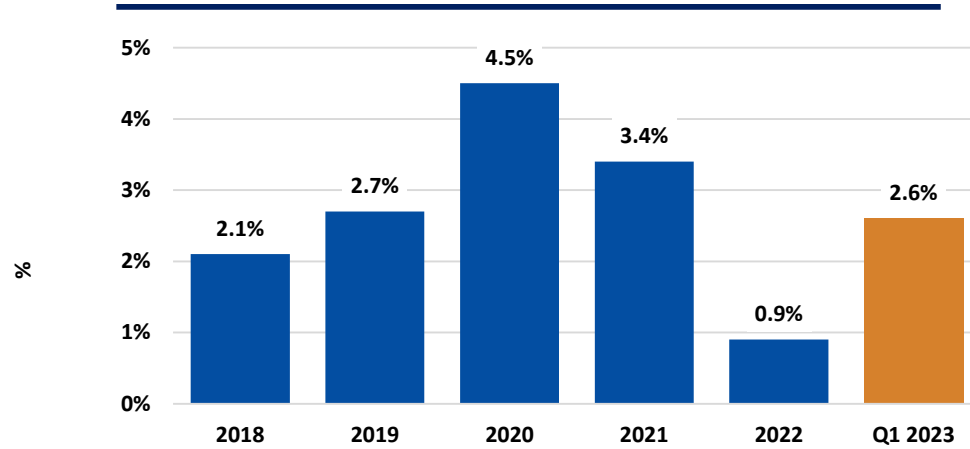
Shareholder's Equity



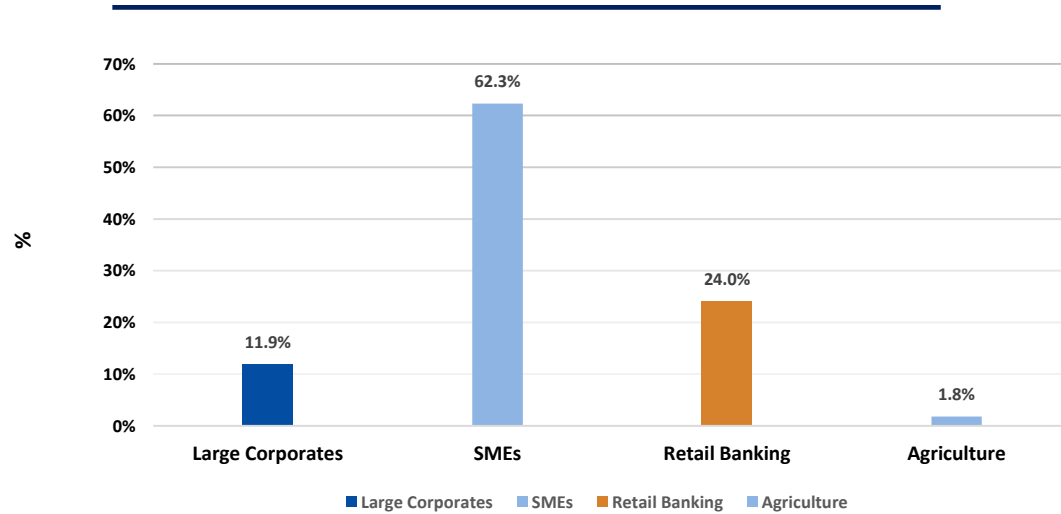
Rwandan Franc (FRw) 1,103.8FRw = 1 US\$ as at Mar 31st, 2023

Credit Risk Profile

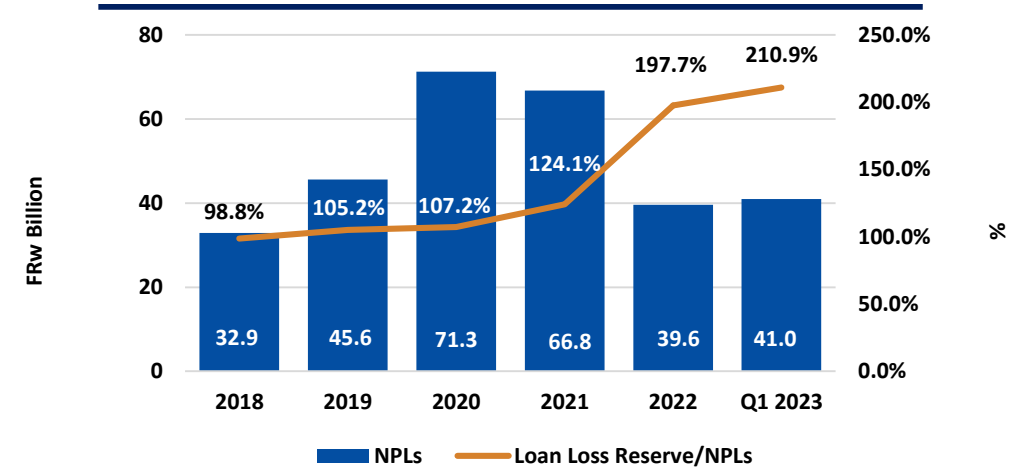
Cost of Risk %



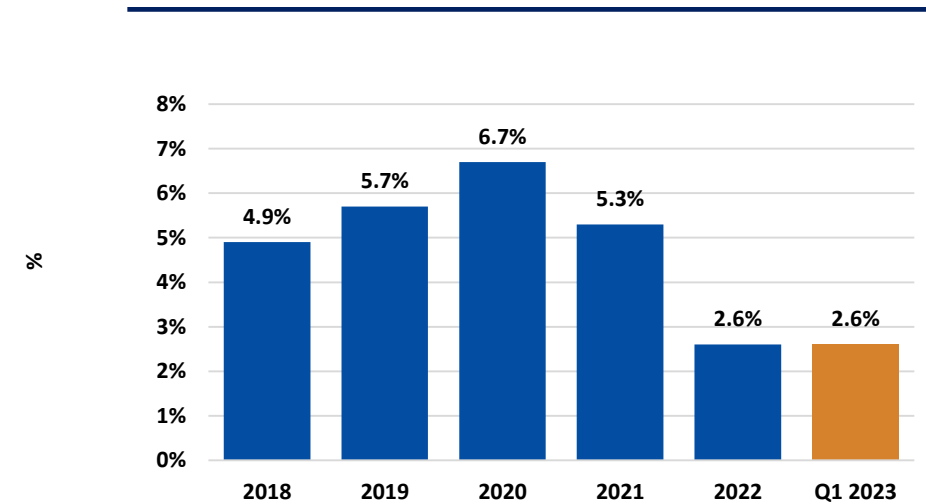
NPLs by Segment



Coverage Ratio



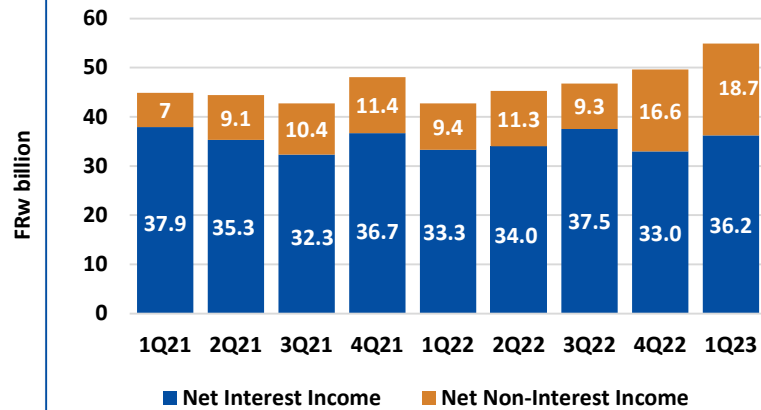
Improving NPL Ratio



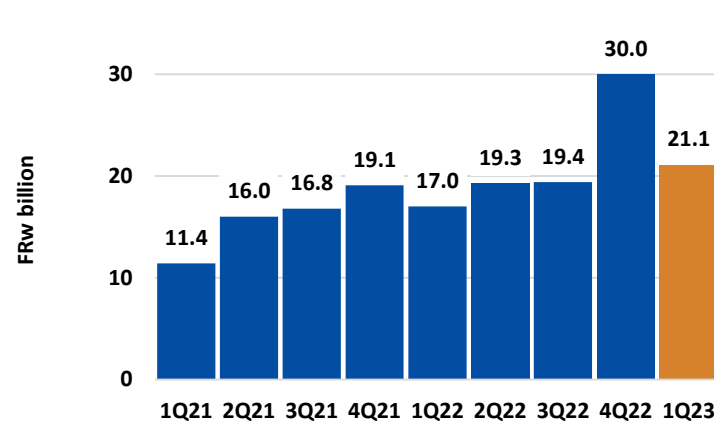
Rwandan Franc (FRw) 1,103.8 FRw = 1 US\$ as at Mar 31st, 2023

Income Statement

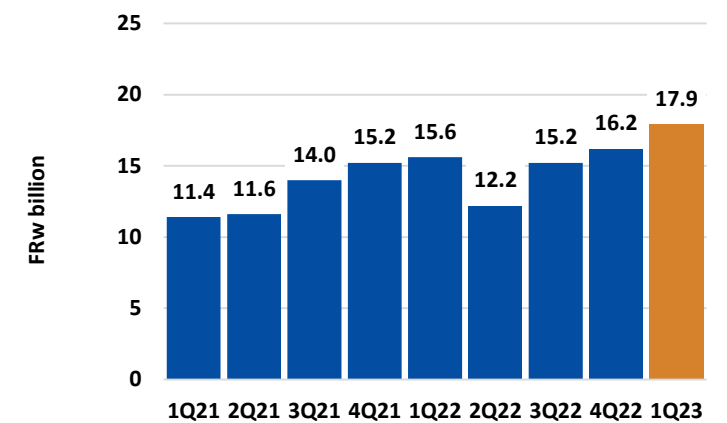
Total Operating Income



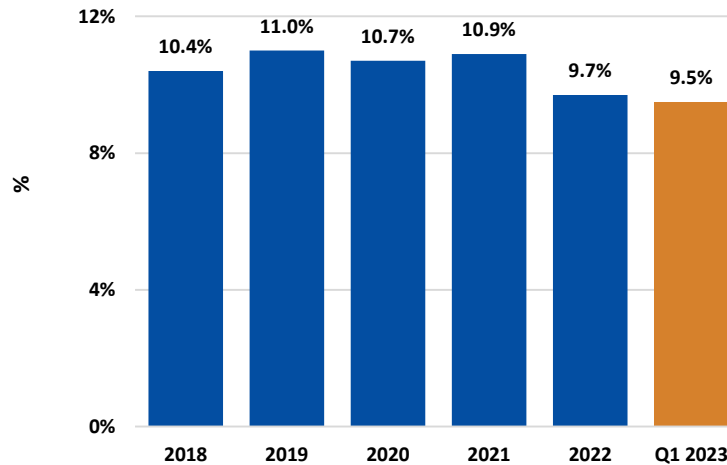
Total Recurring Operating Costs



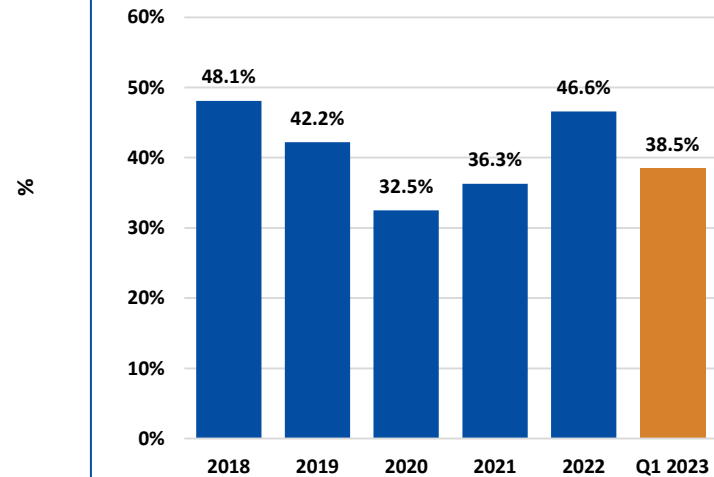
Net Profit



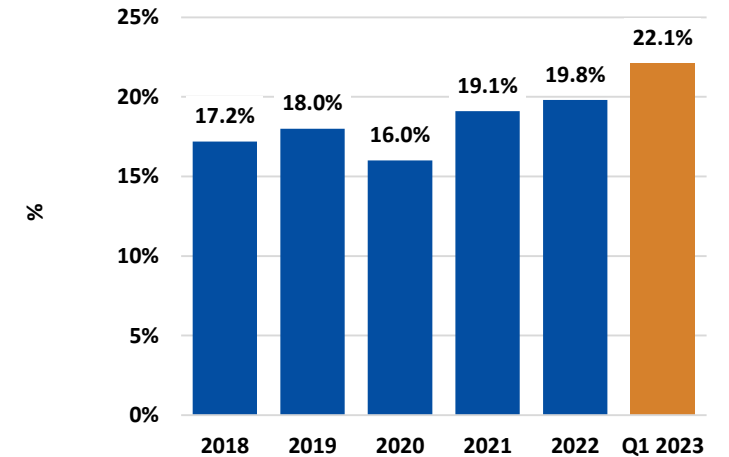
Net Interest Margin %



Cost/Income ratio



Return to Shareholders

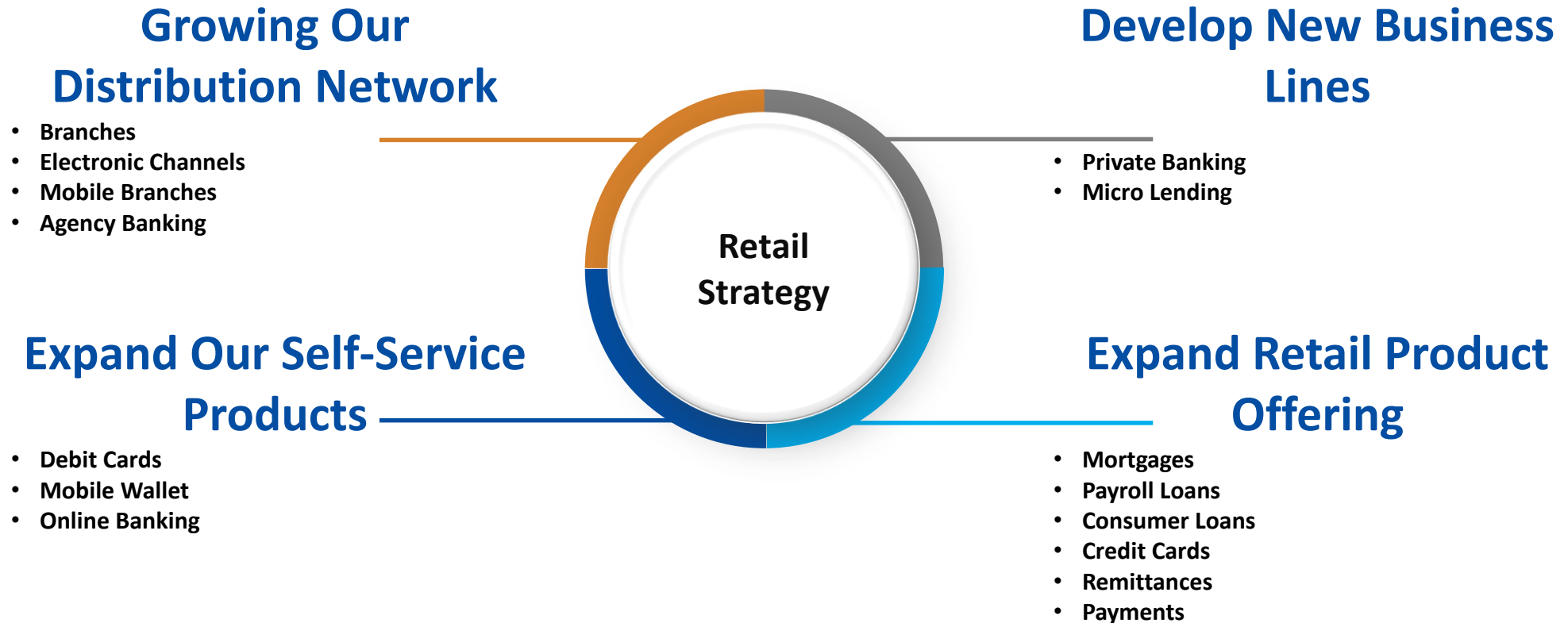




FUTURE GROWTH STRATEGY

Executing The Retail Strategy

Overview of Retail Strategy



Executing The Retail Strategy

1. Growing Our Distribution Network

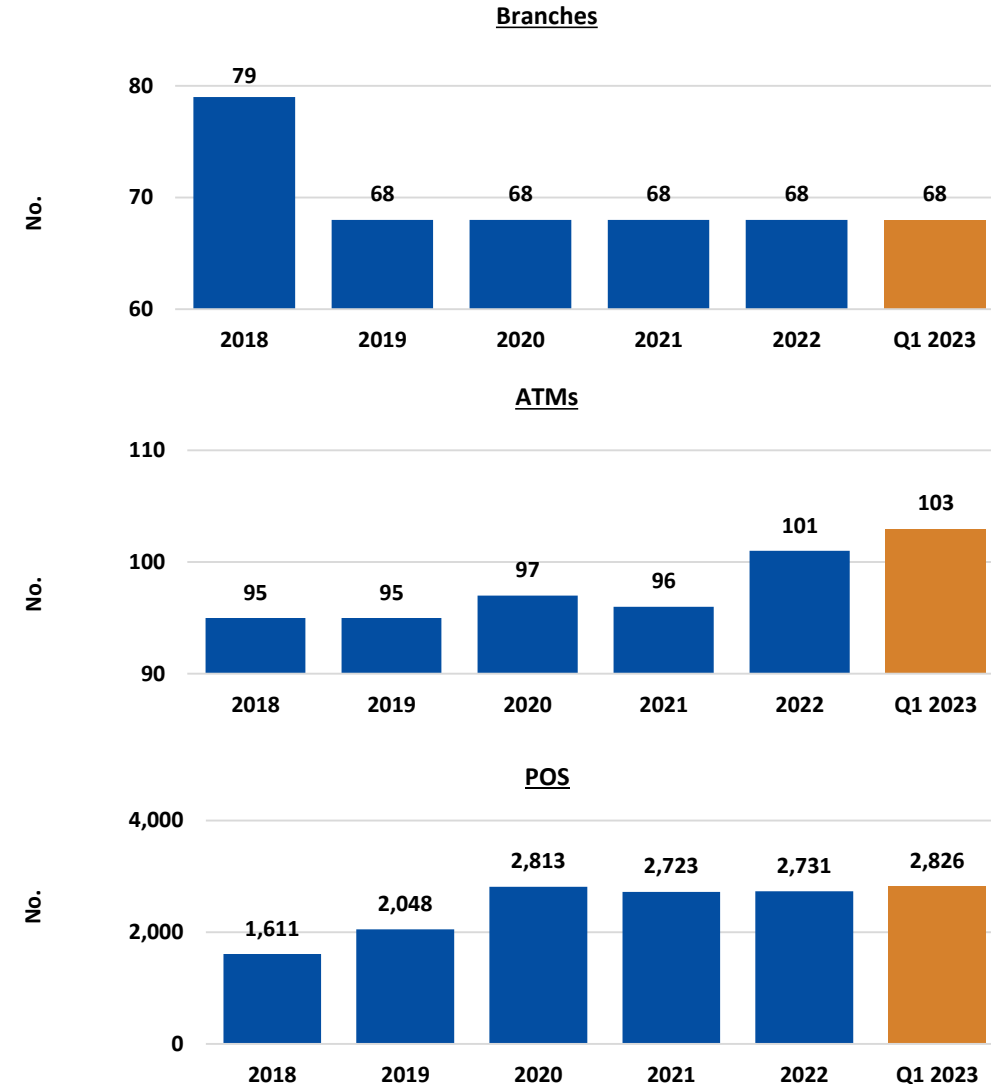
Highlights

- Agency Banking platform BK Yacu began operating in November 2012.
- Expanded the agency banking network to 3,879 operational agents as at March 31st, 2023.
- Agents are able to perform cash in and cash out transactions, open customer accounts as well as send and receive money.

Retail Network



Ubiquitous Footprint



Executing The Retail Strategy

2. Expanding Our Self Service Products

Highlights

- Mobile banking service is available through BK Mobile (USSD code) or BK App allows customers to perform the following transactions:
 - Send money to any mobile phone user regardless of whether they operate a bank account or not;
 - Purchasing prepaid TV or airtime, payment of utilities, taxes and Government e-services;
 - Check Balances and Bank information;
 - Order cheque books;
 - Funds transfers including Interbank;



Achievements to date

- Issuing MasterCard and Visa line of products;
- Launch of e-Commerce acquiring;
- Over 134,871 Visa cards and 21,547 Master Cards are currently in circulation;
- Union Pay and Diners Club Card Acquiring and Amex ATM acquiring.



IKOFI wallet is a universal digital financial solution targeting all Rwandans.

The initial use case is for the Agricultural ecosystem, whereby Rwandan farmers and agro-dealers can register using their NID or business certificates to start transacting with e-money and giving them the opportunity to create a Digital footprint while doing the very same things they do every day and join the formal banking sector thus having Access to Finance.

Farmers and Agro-dealers have a fin-tech product tailored to suit their economic and personal lifestyles and which will open up a path into formal financial inclusion.

IKOFI has registered 264,096 farmers and 1,853 registered Agro dealer as at March 31st, 2023

Self-service offering:



Strategic Outlook

	Objectives	Strategies	Outcomes
► 01	Become the Universal Financial Services provider of Choice for all Rwandans	- BK as a group intends to offer under one brand all financial services to its customers - Widen BK group scope of products and services - Grow Retail business, transactional revenue, Insurance, and brokerage and other services.	- Number of customers served by the group to reach 1,000,000 - Strengthen BK Brand across all segments of the population.
► 02	Control Risk, strengthen systems and revolutionize customer experience	- Provide main services of BK Group at Branch level - Customer service champions to convert customers into digital consumers - Operational and Effective Call Centre - Develop a business intelligence function to support decision making Provide key indicators in an easy format on a day-to-day basis	- Maintain manageable NPLs at less than 5%. - Reduce concentration, introduce automated scoring models for personal loans, salary advances and SMEs loans. - Operational risk - enhance internal and external compliance - solve customers pain points and ensure smooth and enjoyable customer experience.
► 03	Digital Financial Institution	Automation of processes, Integration of BK group systems to ensure a single view of customers, grow the number of digital consumers to at least 20% of BK Group customers	- IT system stabilised at 99% uptime of core banking systems and on all channels - Compliance with global IT standards - Focus on 4 pillars: Connectivity, Automation, Decision-making, Innovation - Establish and maintain a centralized data base for the group - Digitize Manual processes - Back office functions in BK Bank and BKGI to be digitized - Develop new digital channels (Improve the APP, Prioritize mobile payments such as mVisa)
► 04	People	- Attract and retain best talent in the industry - Targeted training in IT, Operations, Business Intelligence and Risk - Develop online training tools to ensure all BK Staff are regularly trained on policies, regulations	Strong performance management systems

BK Digital Transformation Strategy

The new digital vision for Bank of Kigali is “Giving anyone, anywhere the best customer experience through digital”

Vision	Giving anyone, anywhere, the best customer experience through digital			
	 Wow the customer 70% NPS score	 Improve profitability 28% increase in profit before tax	 Diversify Group revenue 50% increase in non-funded income	 1 million new retail and SME customers
	A Connectivity	B Automation	C Advanced Analytics	D Innovation
	- Highest rated mobile app 70% NPS score in customer satisfaction 99% system uptime across all channels 50% reduction in queue times	- Top 10 customer journeys and critical processes digitized end-to-end 40% reduction in operating costs, 50+% reduction in turnaround times, 40% of sales done digitally	- Cross-selling - 15% increase in revenue per customer 20% reduction in churn rate 25% reduction in gross NPL inflow	1 million new retail and SME customers from Bk TechHouse digital Consumers 50% increase in non-funded income
	Pillars <u>Risk & Compliance</u> Improve Risk Culture Regulatory compliance	Pillars <u>People</u> Training Way of working - Agile Performance Management		Pillars <u>Systems</u> Revamp Core Infrastructure Data Architecture

Digital Initiatives

26 digital initiatives will be delivered over the next 3 years



Connectivity

- 1 Market leading retail digital platforms (across mobile app, web, USSD)
- 2 Market leading corporate banking and SME digital platform (web, mobile)



Automation

- 3 Account opening for retail customers
- 4 Payments and transfers for retail customers
- 5 Mortgages for retail customers
- 6 Credit cards for retail customers
- 7 Personal loans for retail customers
- 8 Account servicing for retail customers
- 9 Account opening for corporate, Bank, OFI and SME customers
- 10 Cash management for corporate, Bank, OFI and SME customers
- 11 Term loan for corporate, bank, OFI and SME customers
- 12 Trade finance for corporate, bank, OFI and SME customers
- 13 Account servicing for corporate, bank, OFI and SME customers
- 14 Asset finance for corporate, bank, OFI and SME customers
- 15 Cards for corporate, bank, OFI and SME customers
- 16 Foreign exchange and money markets for corporate, bank, OFI and SME customers
- 17 Reconciliation



Advanced Analytics

- 18 Customer value retention
- 19 Advanced early warning systems
- 20 Cross and up-selling existing customers
- 21 1-2-1 pricing
- 22 RM Workbench
- 23 Collections optimization



Innovation

- 24 Agriculture ecosystem
- 25 SME ecosystem (incl. education)
- 26 Payment ecosystem

BK Insurance Strategy Plan

BKGI Designed Strategic Objectives

Vision	To be a leading provider of innovative, high quality Insurance services.			
Overall Aspirations	 Business Growth. 15% Annual Turn Over. Profitability: 3Bn by 2023.		Efficiency in Cost Management. Expense Ratio of 30%.	
Themes	A Determine Growth Path	B Cost Control	C Key Structures Operational	D Skills Uplift
Theme Aspirations	- Identify Target Markets - Design Relevant Products - Determine Distribution channels 90% Retention of Customers - Enhance Banc-assurance - Hire Insurance Agents - Meticulous Claims Analysis - Prudent risk assessment	- Agreements with Garages & Spare Parts Shops on prices - Prompt investigations on claims - Outsource skilled Loss Assessors to mitigate valuation risk - Maintain 30% ration of operating costs - Automate process - Digitise channels. Motor & Fire offered digitally	- Credible BOD with governance & Insurance Knowledge - ERM in place with a fully functioning Risk Unit - Enhance Underwriting Skills - Risk surveys for big Risks - Enhance Internal Audit Unit - Determine Risk Appetite framework - Management Performance Reviews - Own Risk Registers & train Risk Champions.	- Design development plan for key personnel - Fast Track teams with a long term orientation - Empowerment of key personnel - Establish staff recognition schemes - Clear growth path - Staff satisfaction surveys
Foundational Issues	Key Distribution Channels: Direct Sales; Intermediaries; Digital Channels offerings Leveraging Banc-Assurance	Design a Customer Service Charter Put in place Service Delivery Standards Encourage customer Feedback Design communication strategy Improve product packaging/offering		People

BK TechHouse Strategy Plan

The 3 years strategy vision is “Creating innovative and digital solutions that bring value to BK Group Plc.”

Vision	Create innovative and digital solutions that bring value to BK Group Plc.		
Overall Aspirations	 Scale up existing systems and keep increasing the digital users up to 2,000,000	 Improve the company profitability through the Big Data Business with a positive EBITDA starting from 2020	 Enhance governance and internal control systems
Themes	A Innovative Digital Platforms	B Growth Path	C Meet the operational best practices
Theme Aspirations	Agriculture - Create new digital solutions that enable BK Group to create business opportunity through digital offering in Agriculture; Education - Create new digital solutions that enable BK Group to create business opportunity through digital offering in Education Sector;	- Design Big Data Business Module and start monetizing developed Digital Platforms through below digital products portfolio: - Data Access - Software As a Service - Data Analytics - Maximize profitability and cash flow while maintaining annual business growth to 20%-25%	- Strong Internal control system - Clear KPI management framework & Implement the Performance management Framework - Efficiency in cost management
Foundational Issues	Public Private Partnership with MINAGRI, RAB & NAEB	Regulatory and Policy framework on the Big Data	Strong operational structure

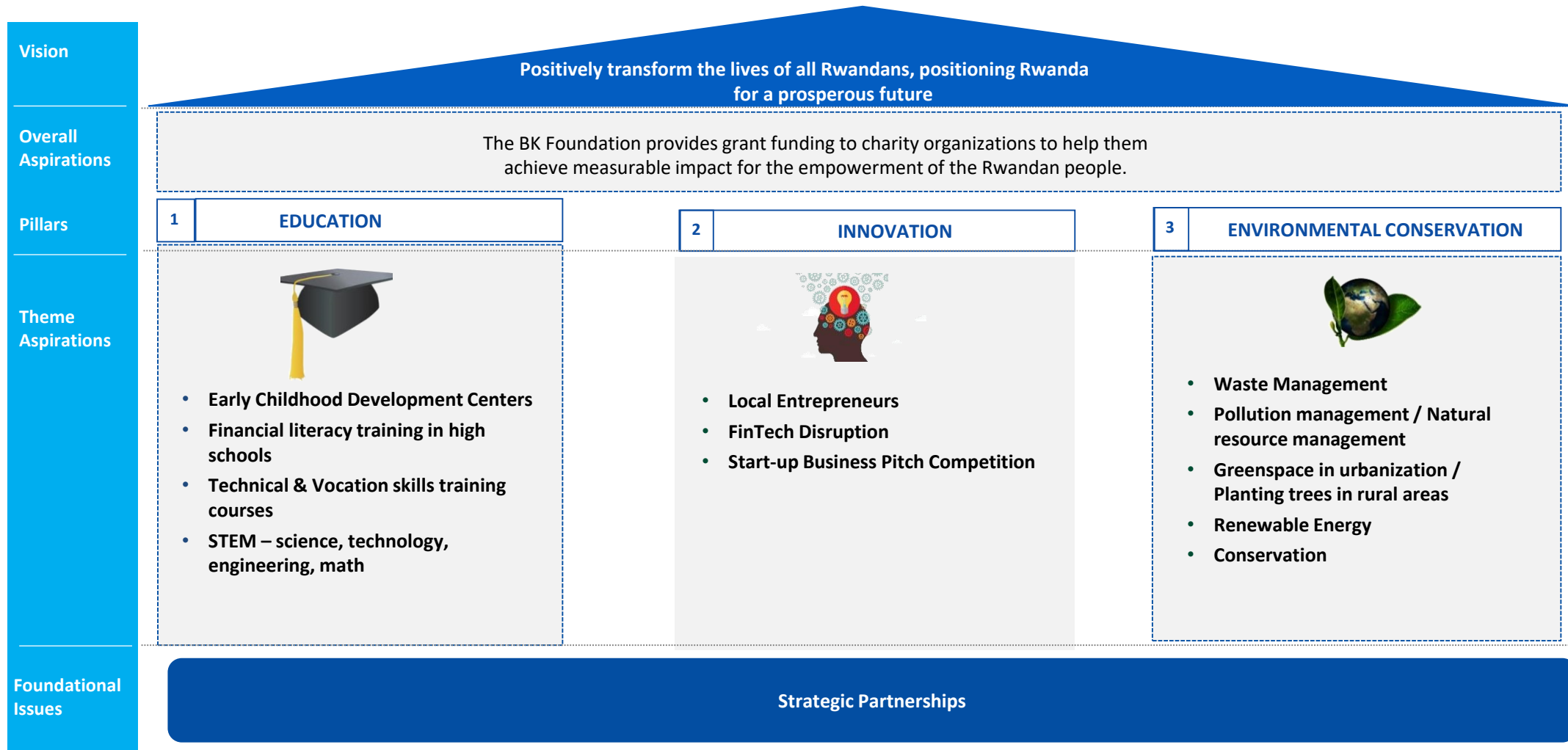
BK Capital Strategy Plan

BK Capital's mission is to serve as a trusted partner to its clients by responsibly providing financial services and advisory to its clients' finances

Vision				
To be the most trusted financial partner offering Innovative financial solutions				
Overall Aspirations	 Position BK Capital as the leading Advisory & Fund Manager in Rwanda and a major player in East Africa		 Grow Assets Under Management to \$50 Million by 2023	
	 Adopt flexible financing and fundraising models, beyond capital markets to source additional capital for opportunities		 Develop teams with expertise and build a track record of successful deal execution	
Themes	A Strategic Positioning	B Wealth & Fund Management	C Financing & Fundraising	D Human Capital
Theme Aspirations	- Develop strategic partnerships with brokers, fund houses and financial solutions providers servicing clients across Africa - Develop Innovative products for the Rwandan and regional market - Develop systems & processes across the products we offer - Market Reports and research Insights that will drive decision making	Develop a diverse suite of products: - Income fund for sale to local and International Investors - Exchange Traded Funds (ETF) with Investments in a basket of securities - East Africa Equity & Fixed Income fund attracting International & local Investors to focus on blue chips stocks	Develop a variety of capital raising channels through: - Private Placements - Mergers & Acquisitions (M&A) - Private Equity Capital Market Channels through: - Corporate Bonds - Initial Public Offers (IPOs)	- Build the human capital that will meet the long term objectives of being the "benchmark" in the market - Develop Risk Management Policies concerning good market practices - Develop In-house proprietary reporting and Investment management tools
Foundational Issues	Strategic Partnerships		Systems & Processes	
			People	

BK Foundation Strategy Plan

A philanthropic Foundation aimed at effectively supporting the communities through initiatives that align with BK Group's overall mission and corporate goals.



Management Targets

	Outlook 2023	Q1 2023
Loan Growth	>15%	13.3%
Deposit Growth	>20%	3.2%
Net interest Margin	>10%	9.5%
Non Funded Income	>25%	34.1%
Cost to Income Ratio	<40%	38.5%
Return on Equity	>25%	22.1%
Return on Assets	>4.2%	4.0%
Cost of Risk	< 1.5%	2.6%
NPLs	< 4%	2.6%



DISCLAIMER

This presentation contains statements that constitute “forward-looking statements”, including, but not limited to, statements relating to the implementation of strategic initiatives and other statements relating to our business development and financial performance.

While these forward-looking statements represent our judgments and future expectations concerning the development of our business, a number of risks, uncertainties and other factors could cause actual developments and results to differ materially from our expectations.

These factors include, but are not limited to, (1) general market, macroeconomic, government policies, legislative and regulatory trends, (2) movements in local and international currency exchange rates, interest rates and securities markets, (3) competitive pressures, (4) technological developments, (5) changes in the financial position or credit worthiness of our customers, obligors and counterparties and developments in the markets in which they operate, (6) management changes and changes to the Bank’s structure and (7) other key factors that we have indicated could adversely affect our business and financial performance, which are contained elsewhere in this presentation and in our past and future filings and reports, including those filed with the National Bank of Rwanda and the Rwanda Stock Exchange.

We are under no obligation (and expressly disclaim any such obligations to) update or alter our forward-looking statements whether as a result of new information, future events, or otherwise.

1. Economic Outlook

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2. Banking Sector Outlook

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3. Share Performance

pg. 46

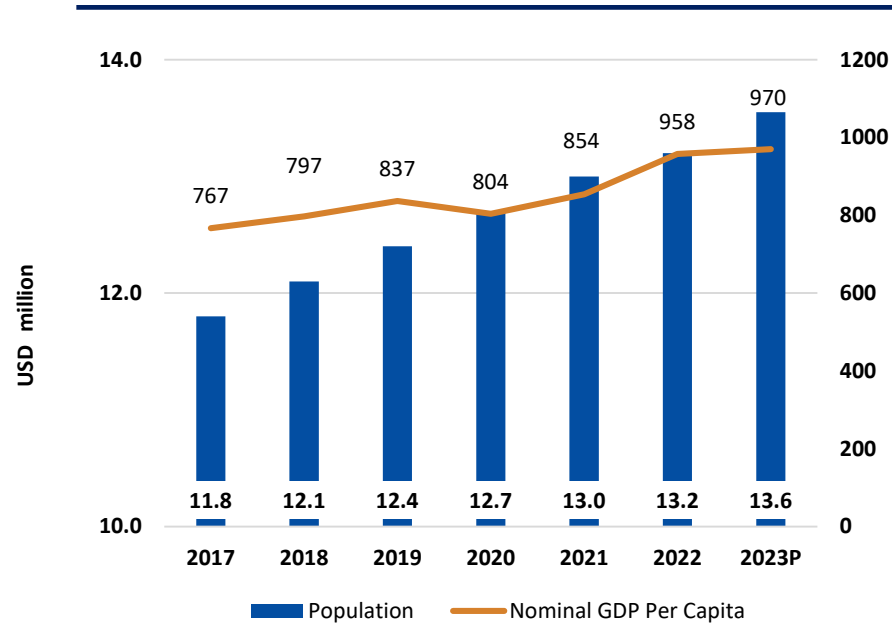


ECONOMIC OUTLOOK

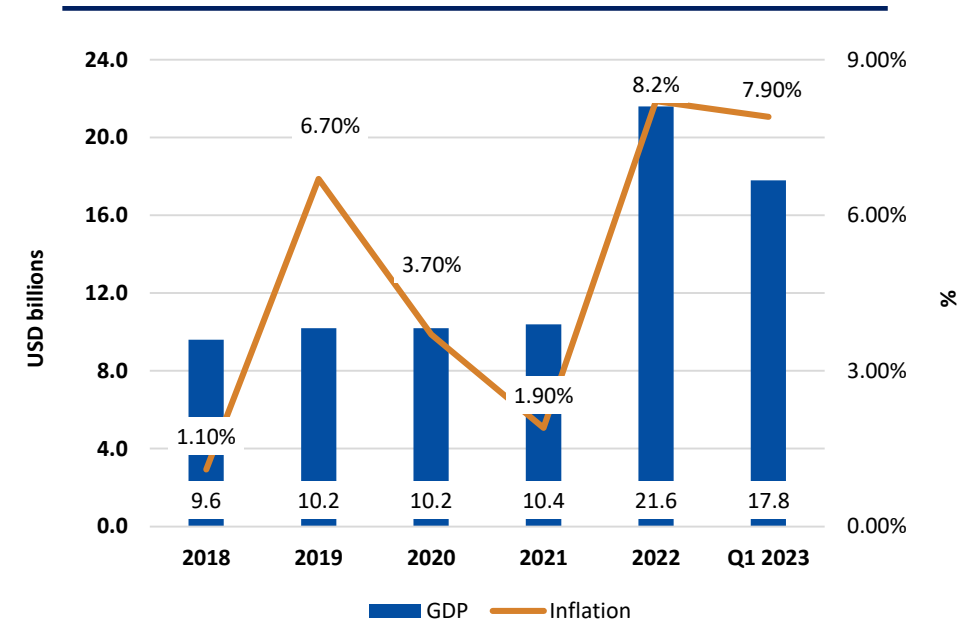
Rwanda Country Profile

Sound macro fundamentals

GDP per Capita continues to Grow



GDP growth vis-à-vis inflation



- Politically stable country with sound governance
- Attractive demographic profile: population of 13.2 Million
- In Q1 2023, GDP reached 7.9%.
- Moderate urban inflation with rate of 17.8% in March 2023.

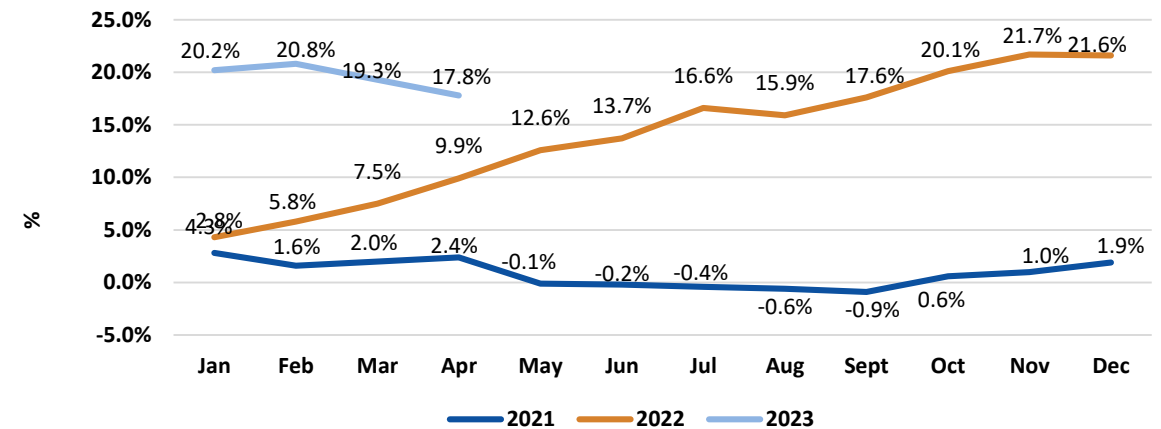
Source: NISR, Renaissance Capital Report, IMF

Review of the Macro Economic Environment

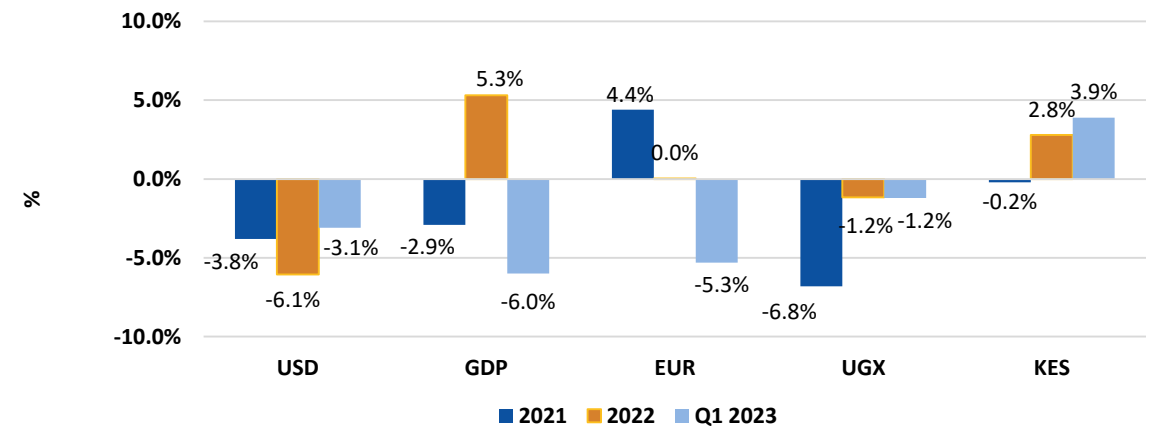
Macro Economic Review 2022

- In 2022, the economy continued to grow throughout the year. GDP growth was 7.9% in the first quarter, 7.5% in the second quarter, 10% in the third quarter and 7.3% in the fourth quarter. This led the year 2022 to grow by 8.2% when compared to 2021.
- In agriculture, the growth was 2% and contributed 0.4 percentage points to the overall growth. Food crops decreased by 1%; export crops grew by 4%.
- In industry, the growth was 5% and contributed 0.9 percentage points to the overall growth. This growth is attributed to the growth of 11% in manufacturing activities, and 15% growth in mining & quarrying activities. This growth in industry was however affected by the decrease of 6% in construction activities.
- The growth in manufacturing was boosted by an increase of 13 % in food processing activities; 9% increase in beverages & tobacco; 21% increase in Textiles, clothing & leather goods; 14% increase in chemicals rubber & plastic products and 7% increase in metal products, machinery & equipment.
- In Services, the overall growth in service sector was 12 % and contributed 5.7 percentage points to overall growth. Within services, activities performed as follows: wholesale & retail trade activities increased by 14%, Hotels & restaurants increased by 87%, Transport activities increased by 22%, Financial services increased by 10% and Information & communication increased by 20%. On the other hand, public administration services increased by 10%, education services increased by 17% while human health activities increased by 8%.

Inflationary Environment



Exchange Rates Development



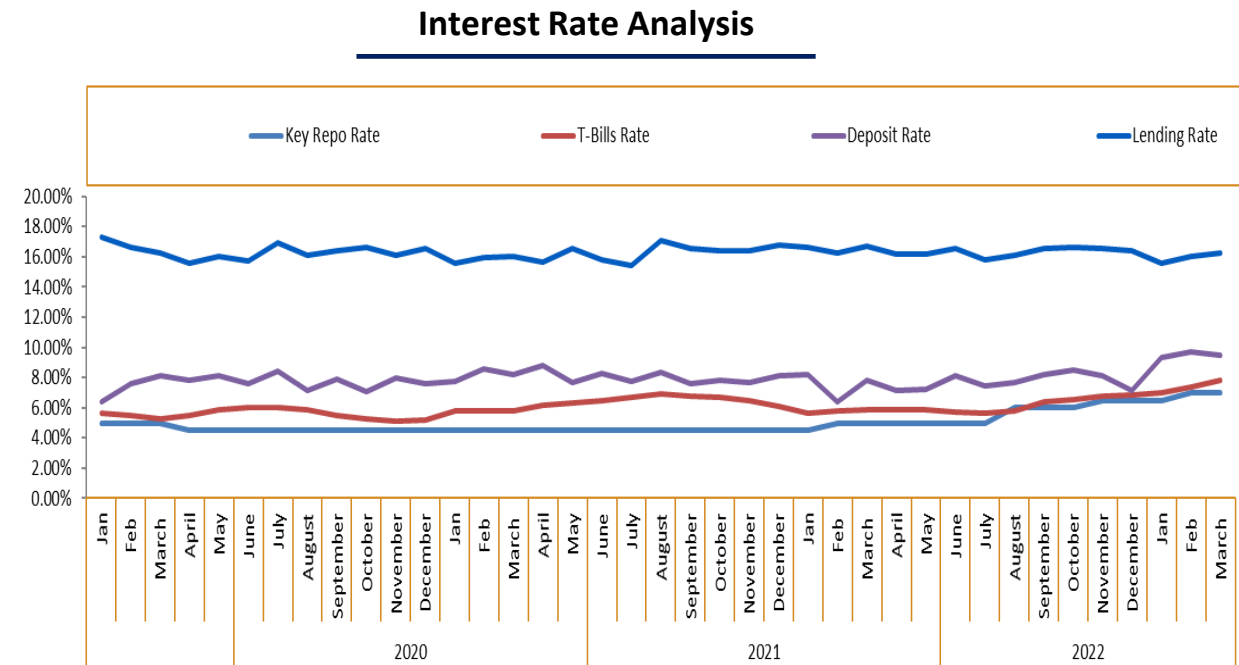
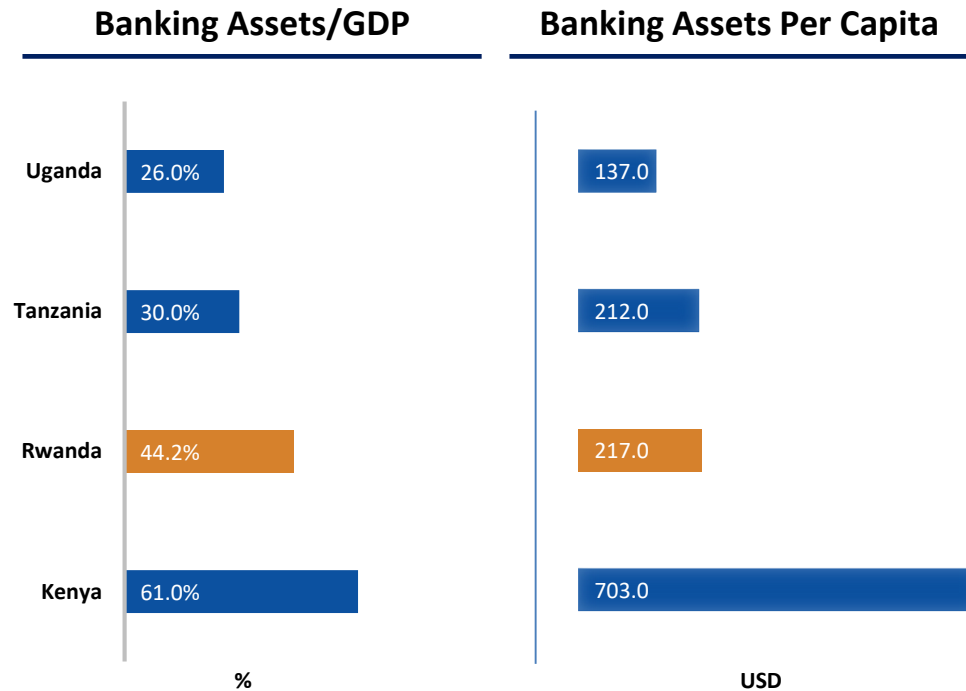
Source: BNR, NISR; Rwandan Franc (FRw) 1,103.8 FRw = 1 US\$ as at Mar 31st, 2023



BANKING SECTOR OVERVIEW

Banking Sector Overview

Significant Banking Sector Potential

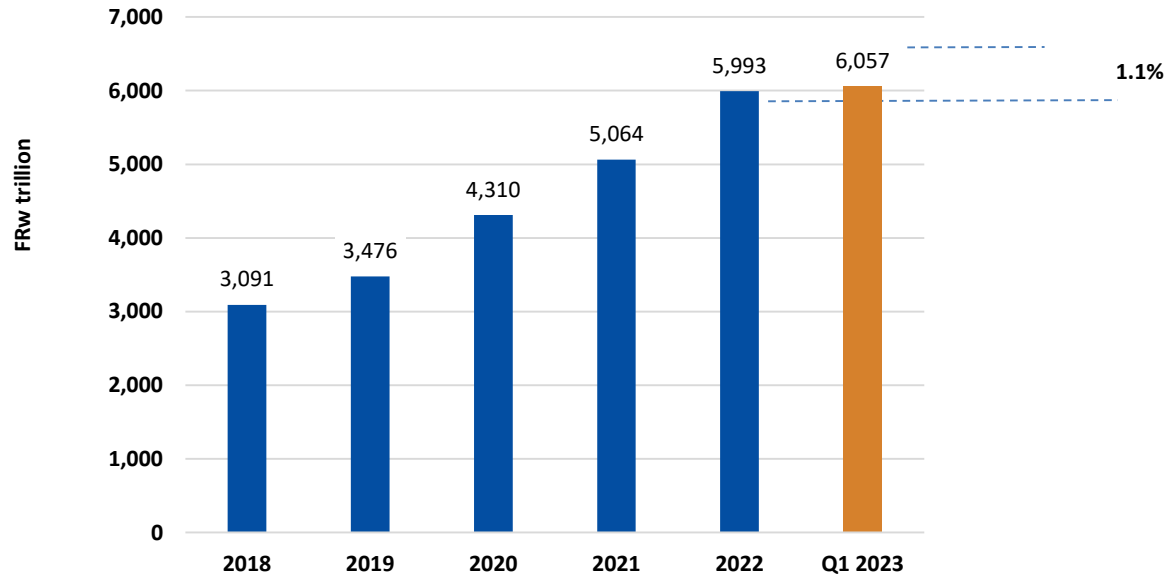


- Well regulated banking sector: fairly conservative regulator relative to other regulators in the EAC
- Significant headroom for growth given under-banked and excluded population
- Significant headroom for growth given under-banked and excluded population; 36% of adults in Rwanda are banked or are using banking services
- Total assets/GDP of 44.2% as at Q1 2023.

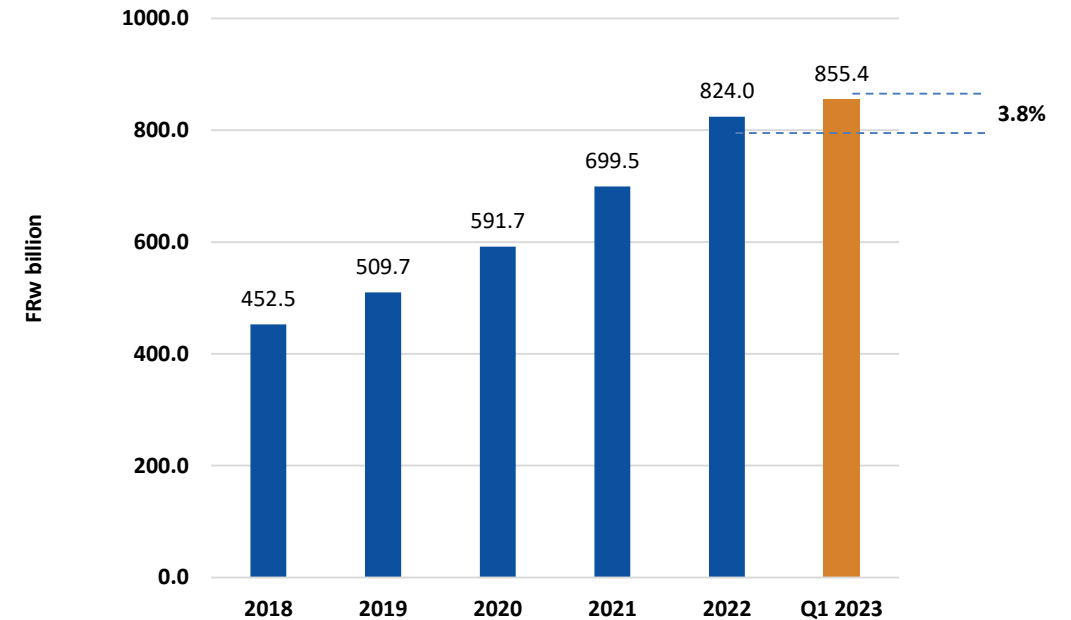
Source: Exotic Frontier Equities, National Bank of Rwanda Monetary Policy Statement, Population stats by World Bank

Financial Sector Overview

Rwanda Banking System Total Assets



Rwanda Insurance Sector Total Assets



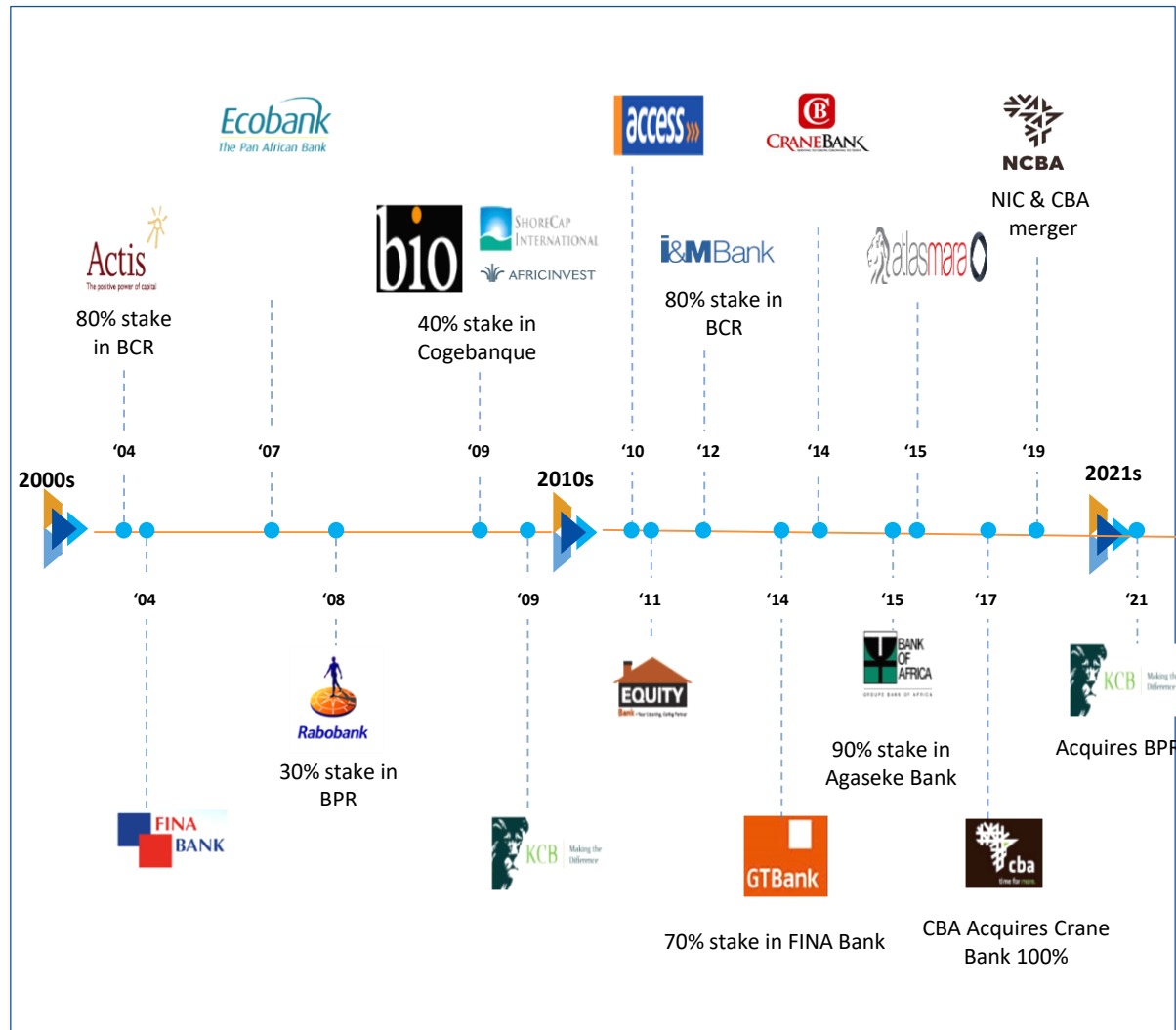
- The Financial sector is expected to remain sound and stable.
- Banking assets registered annual growth rate of 1.1% to FRw 6,057 trillion in March 2023 from FRw 5,993 trillion in December 2022.
- The Insurance Sector registered a growth rate of 3.8% to FRw 855.4 billion in March 2023 FRw from 824.0 billion in December 2022.

Source: NISR, Renaissance Capital Report, Finscope Rwanda Report

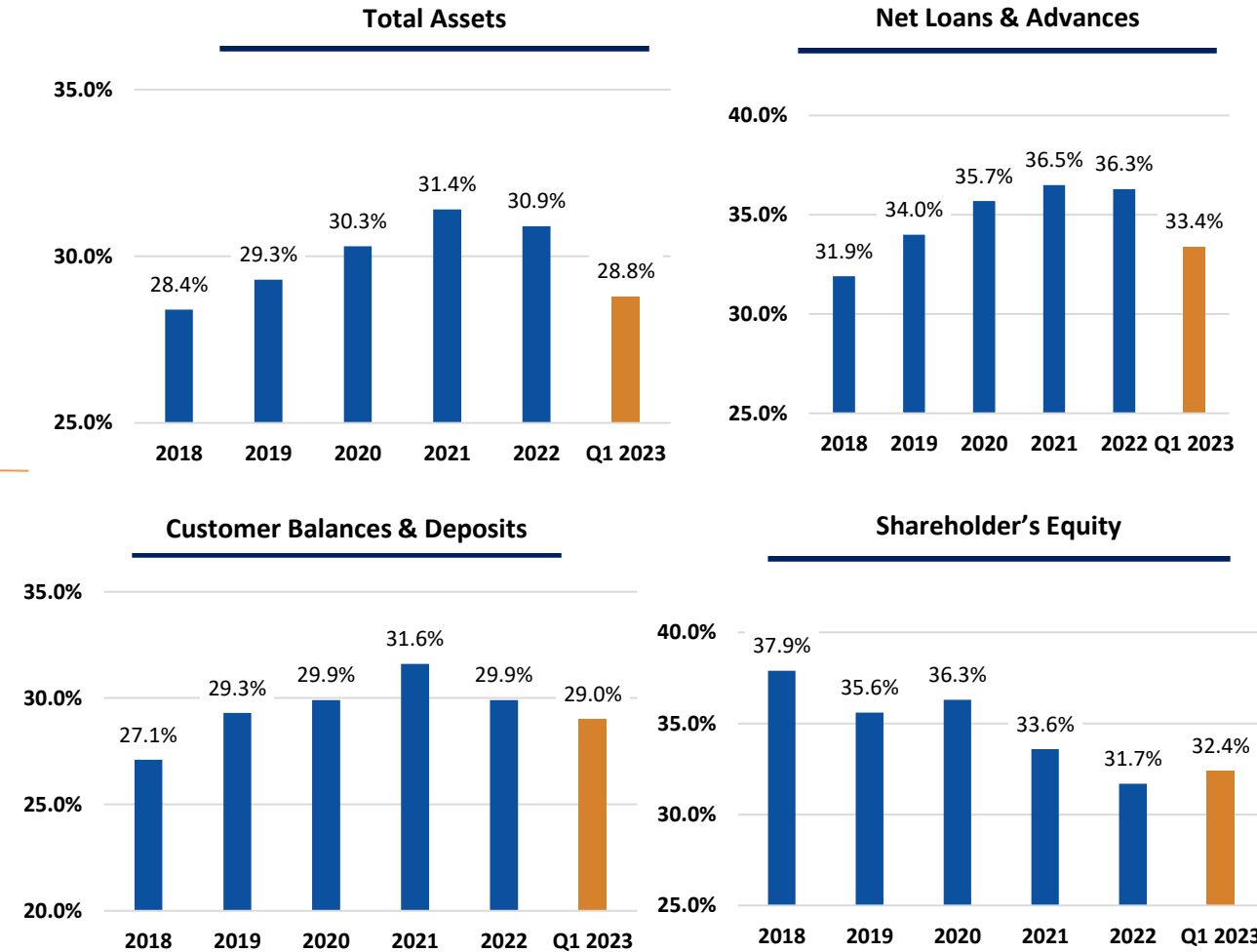
Top Insurance Companies Rwanda (Medical Excluded)

Company	Gross Written Premium	Underwriting Results	Loss ratio	Expense Ratio
BKGI	11,057,122	2,293,315	40%	32%
PRIME	16,013,578	1,341,961	56%	28%
SANLAM	11,154,111	-4,381,316	72%	103%
RADIANT	11,272,686	- 1,013,194	77%	35%
MUA	9,518,560	606,713	54%	36%
OLD MITUAL	6,589,211	- 376,777	52%	60%
BRITAM	4,364,007	- 255,543	40%	73%
MYFAIR	5,245,701	191,676	35%	54%
SONARWA	6,264,782	- 1,698,070	78%	67%

Timeline of Foreign Investment In The Rwandan Banking Sector



Bank of Kigali Market Share



Source: NISR, Renaissance Capital Report, Finscope Rwanda Report, BNR

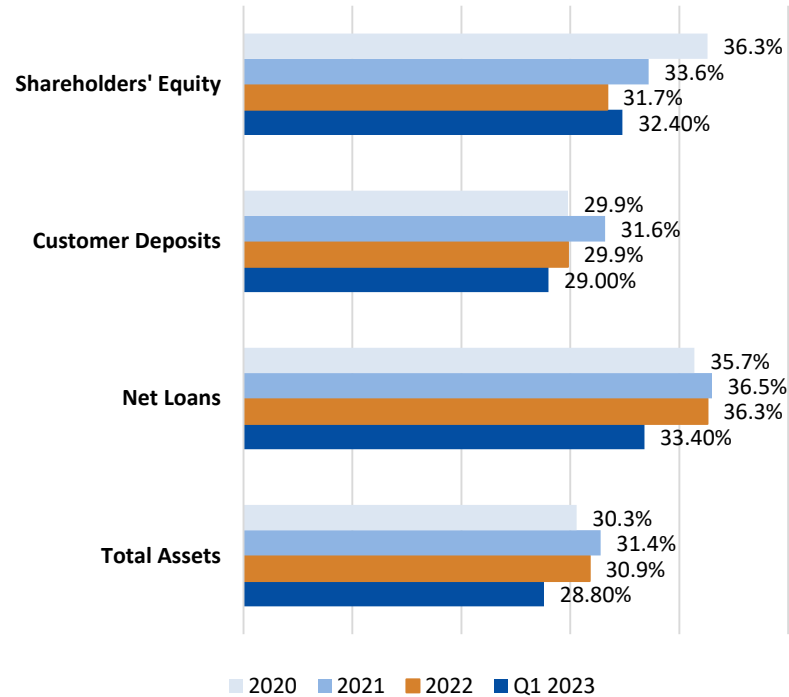
Top Banks in Rwanda

Entity	Total Assets		Net Loans		Customer Deposits		Equity	
	% Market Share	Rank	% Market Share	Rank	% Market Share	Rank	% Market Share	Rank
 BK GROUP PLC	35.8%	1	49.1%	1	37.4%	1	42.0%	1
	15.6%	2	20.7%	2	15.4%	2	16.0%	2
	12.1%	3	2.5%	8	6.8%	5	4.3%	6
	10.6%	4	10.6%	3	9.8%	4	9.5%	3
	6.4%	5	5.9%	4	5.7%	6	6.1%	5
	5.4%	6	1.6%	9	3.2%	8	3.4%	8
	4.5%	7	2.6%	8	5.7%	7	3.7%	7
	3.4%	8	0.0%	10	13.7%	3	8.9%	4
	3.4%	9	4.2%	5	2.8%	10	3.4%	9
	2.8%	10	2.8%	6	2.8%	9	2.6%	10

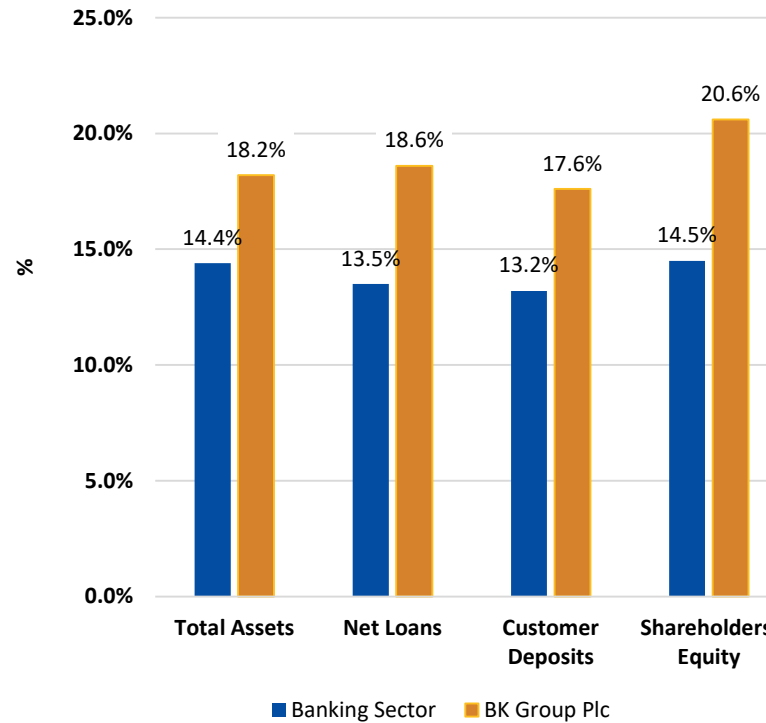
Source: Q1 2023 Published financials

Market Share Dynamics

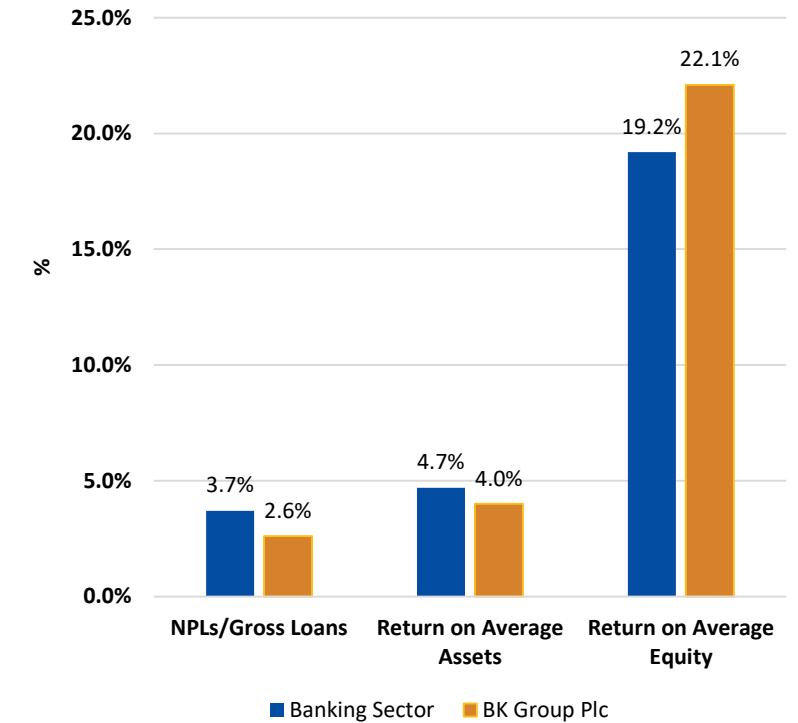
Market Share for Banking Sector



Bank of Kigali vs. Banking Sector Growth CAGR 2018 - Q1 2023

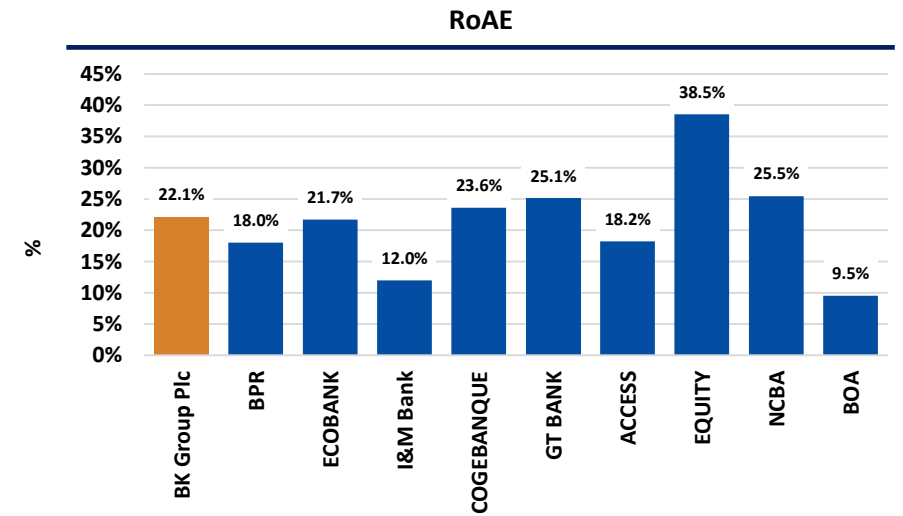
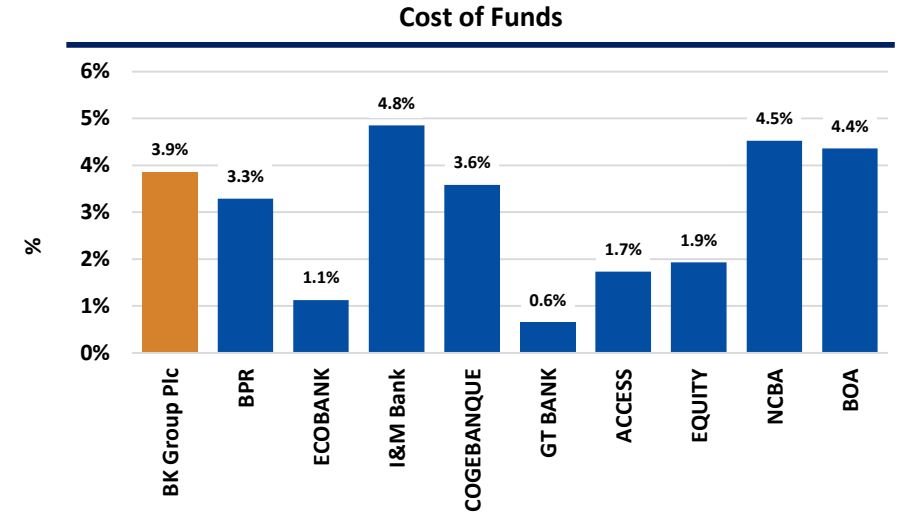
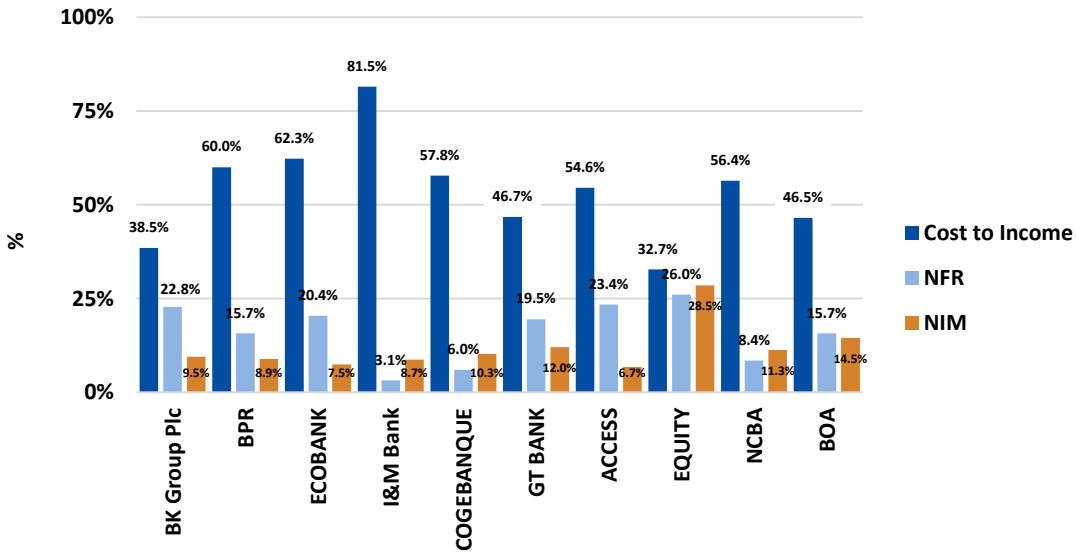
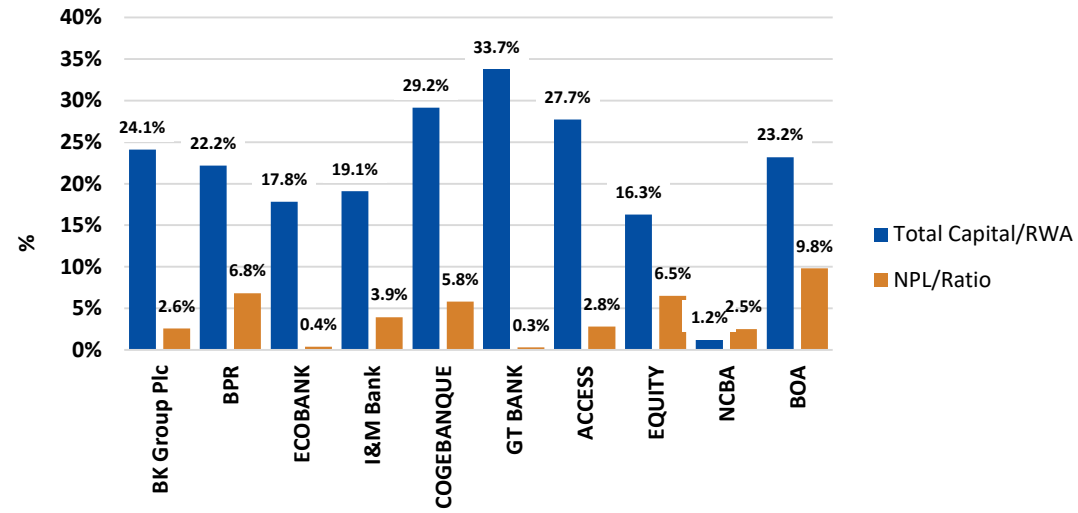


Selected Indicators Q1 2023



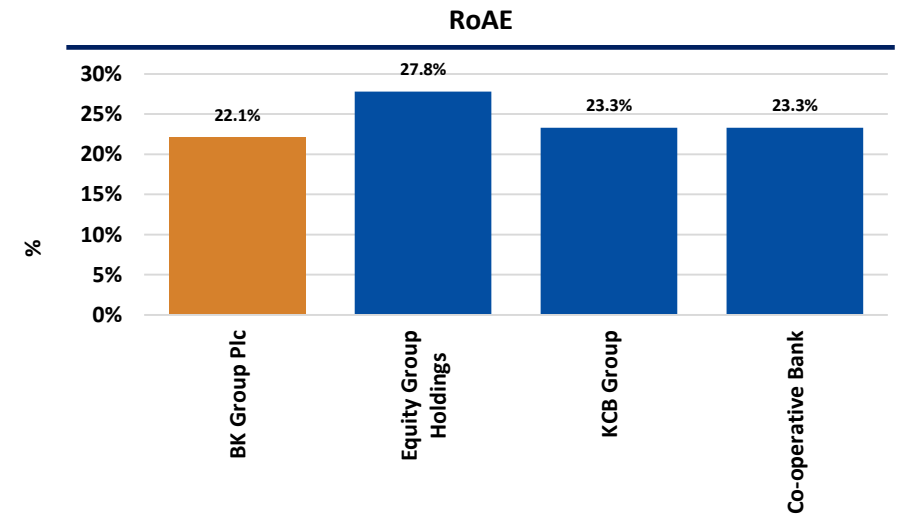
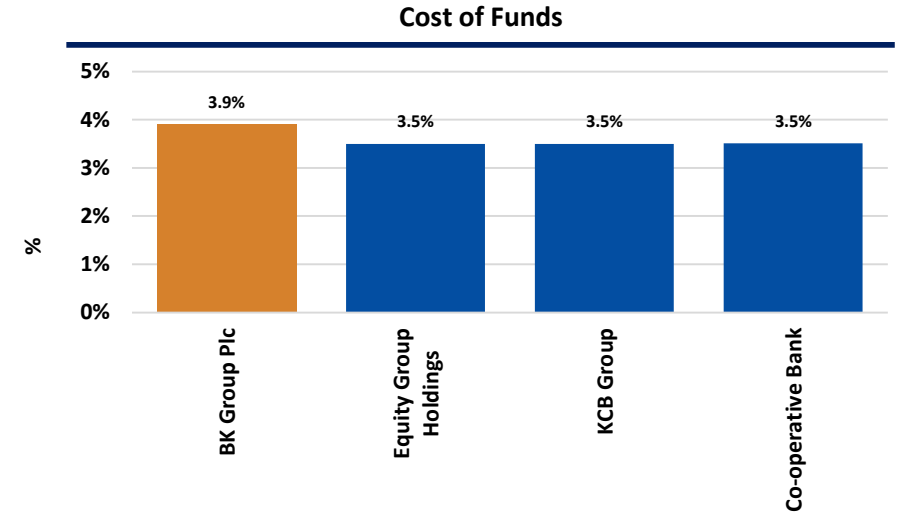
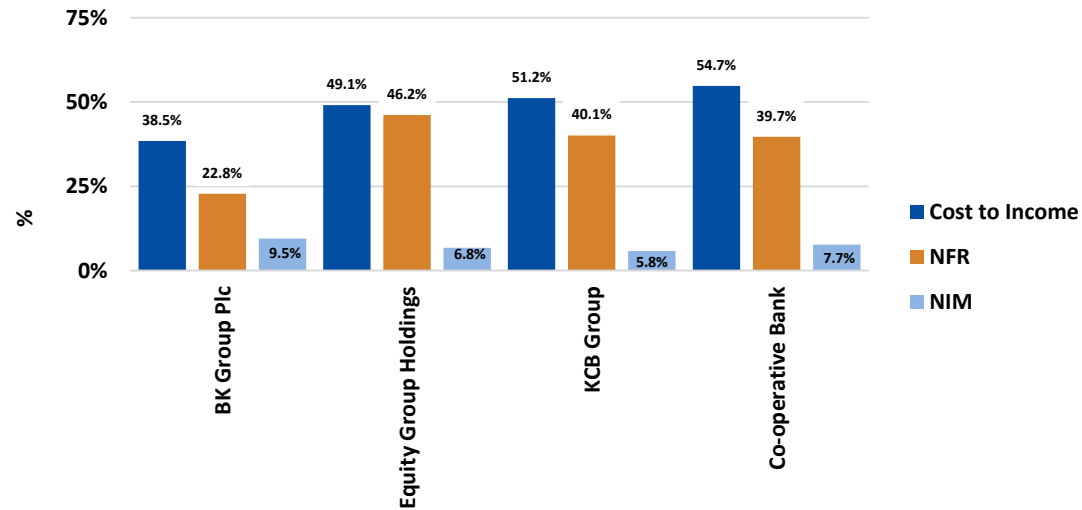
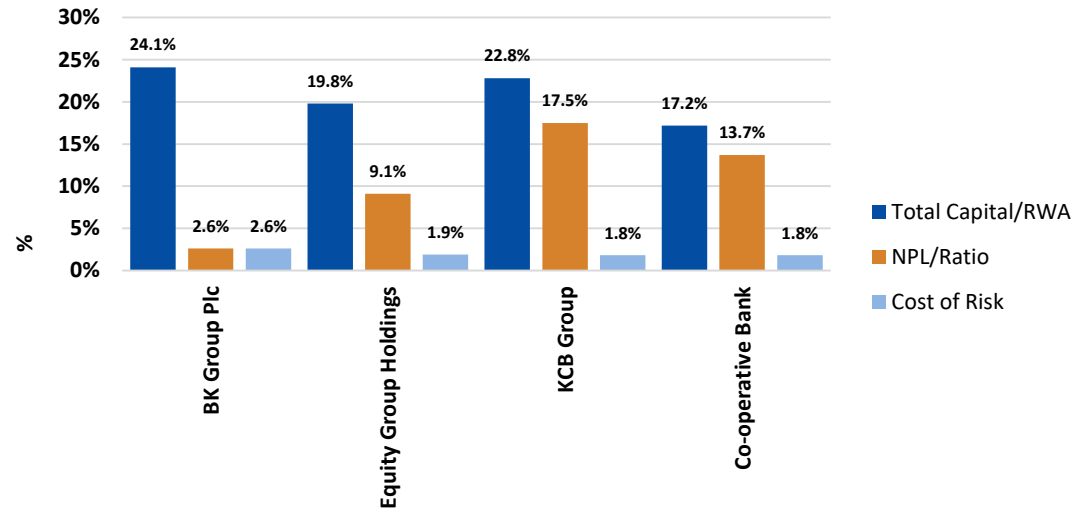
Source: BNR

Competitive Landscape: Rwanda



Source: Q1 2023 published financials

Competitive Landscape: Kenya



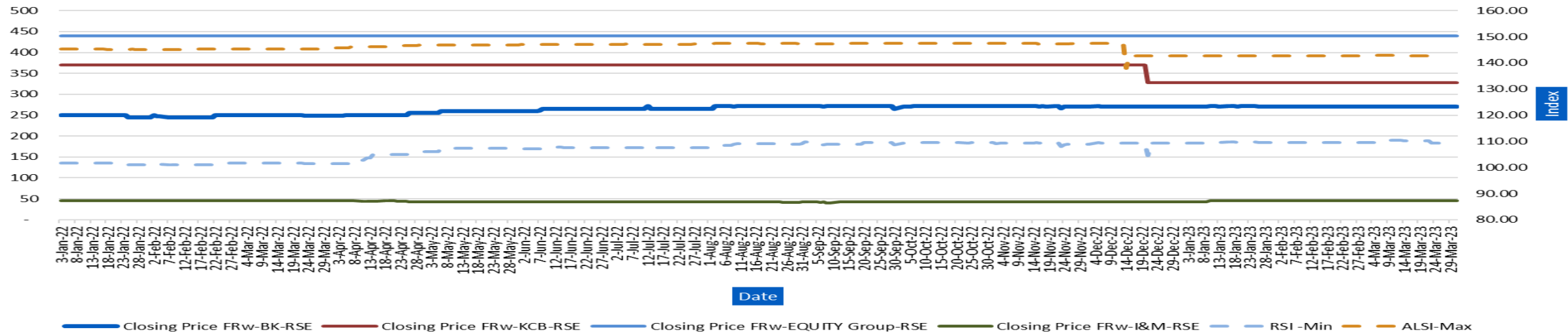
Source: Q1 2023 published financials



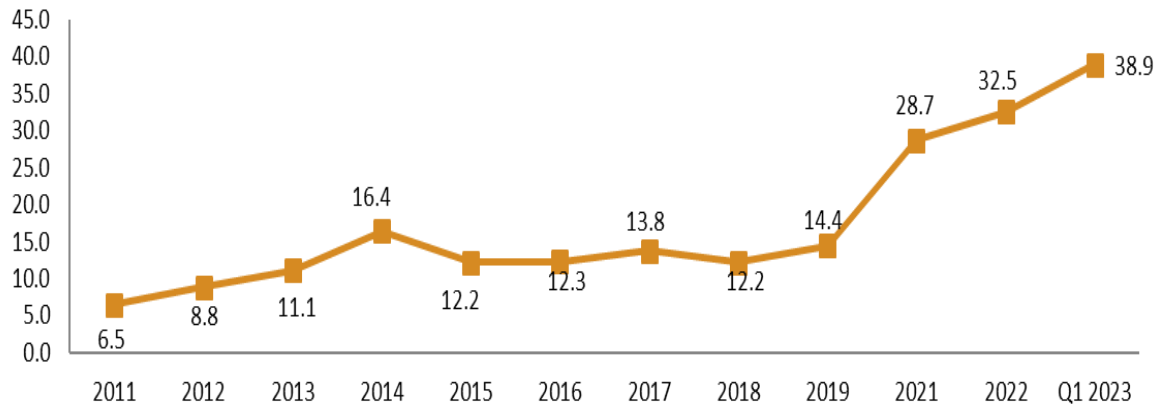
SHARE PERFORMANCE

Share Price Performance FRw - Rwanda

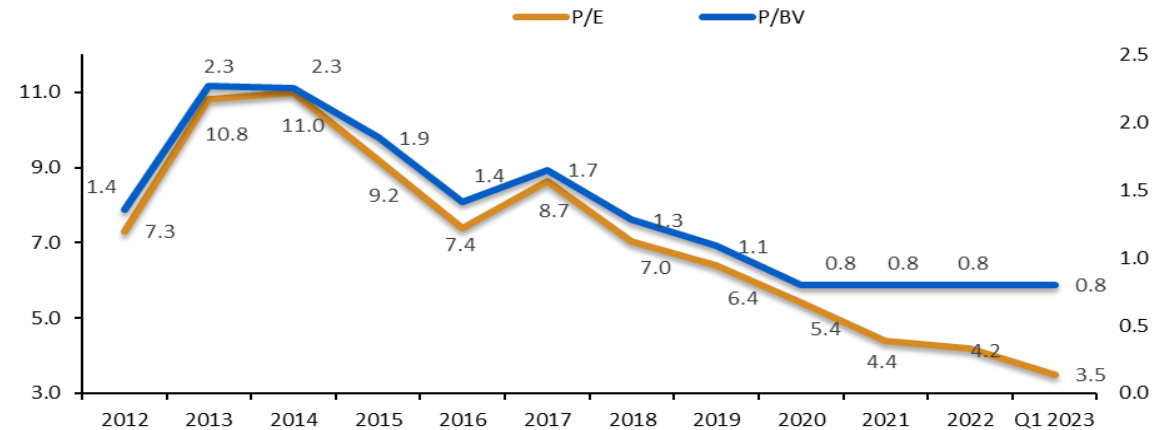
Share Price Performance in FRw of BK vs. I&M, Equity and KCB on RSE



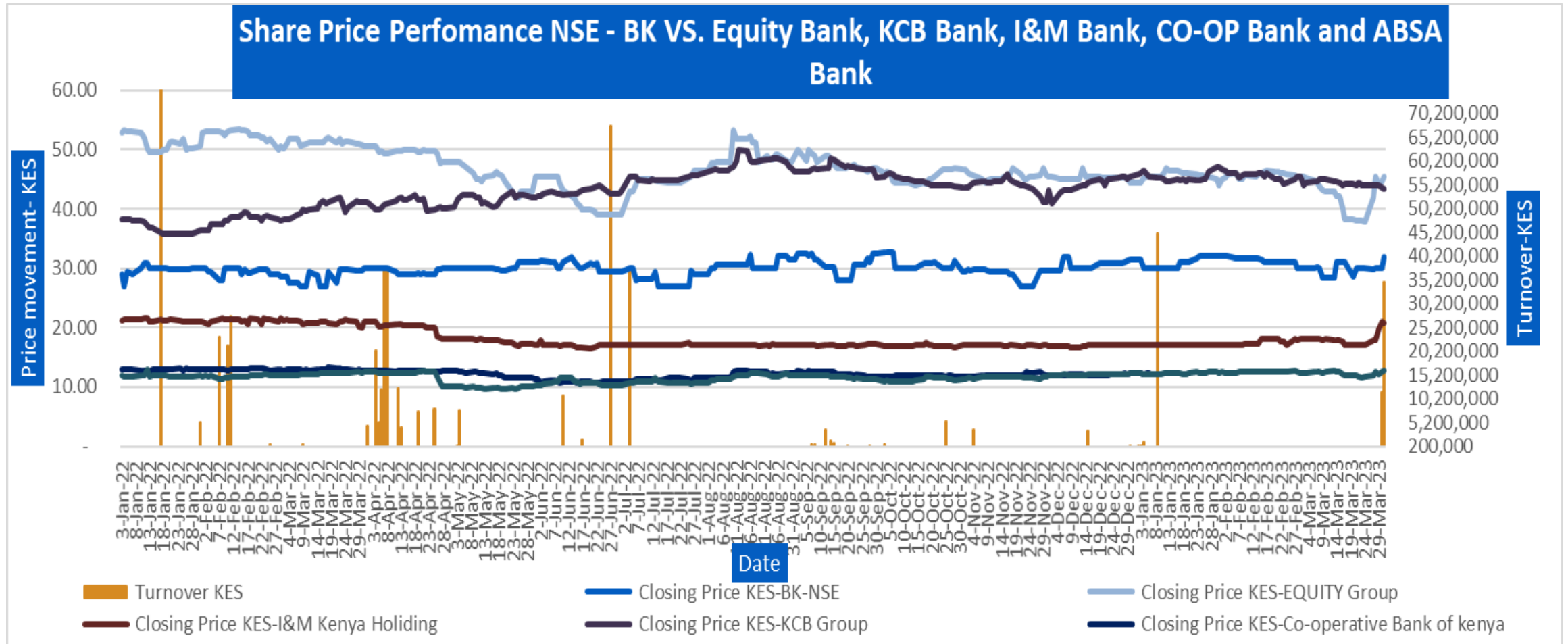
Dividends Per Share (FRw)



P/E ratio and P/BV



Share Price Performance KeS - Kenya





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